INTERNATIONAL MARITIME ORGANIZATION

FINANCIAL REPORT AND AUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025

REPORT OF THE EXTERNAL AUDITORS



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INTERNATIONAL MARITIME ORGANIZATION

FINANCIAL REPORT

FOR THE YEAR ENDED 31 DECEMBER 2025

SECRETARY-GENERAL'S STATEMENT

INTRODUCTION

1 In accordance with financial regulation 12.10, I have the honour to submit to the Council, for its examination and onward transmission to the Assembly, the financial statements of the International Maritime Organization (IMO) for the year ended 31 December 2025.

2 The Report of the External Auditors on the audit of the 2025 financial statements, together with their opinion thereon, is also submitted to the Council as prescribed under financial regulation 12.10.

3 The financial statements have been prepared in accordance with the International Public Sector Accounting Standards (IPSAS), as prescribed by financial regulation 11.1, adopted by the Assembly through resolution A.1017(26) effective 1 January 2010, and in line with the United Nations policy that IPSAS be used as the accounting standards by United Nations system organizations.

4 In 1948, an international conference in Geneva adopted a convention formally establishing the Intergovernmental Maritime Consultative Organization. The Convention entered into force in 1958, and the Organization came into being in 1959. In 1982, the original name was changed to the International Maritime Organization. The Headquarters of the Organization is in London and its complement is approximately 320 staff members, including project staff, Member States Professionals and temporary employees. IMO's principal place of business, as well as the names and addresses of its General Counsel, actuary, principal banker, and external auditor, are indicated in annex 1 to the financial statements.

5 Within the meaning of IPSAS, IMO also controls the World Maritime University (WMU) and the IMO International Maritime Law Institute (IMLI), the financial records of which are presented within these financial statements. IMO is not a controlled entity within the meaning of IPSAS, its ultimate decision-making body being its Assembly of 176 Member States, with an elected Council of 40 Member States performing, in accordance with Article 26 of its constitutive Convention, all functions of the Assembly, with the exception of some technical matters, between sessions of the Assembly.

6 The purposes of the Organization, as summarized in Article 1(a) of its Convention, are "to provide machinery for cooperation among Governments in the field of governmental regulation and practices relating to technical matters of all kinds affecting shipping engaged in international trade; to encourage and facilitate the general adoption of the highest practicable standards in matters concerning maritime safety, efficiency of navigation and prevention and control of marine pollution from ships; and to deal with administrative and legal matters related to the purposes set out in this Article".

HIGHLIGHTS OF MARITIME ACTIVITIES IN 2025

7 In 2025, the International Maritime Organization (IMO) advanced a broad programme of work across safety, security, facilitation, environmental protection, and legal frameworks, in response to evolving global challenges, while also supporting Member States in implementation of the regulatory framework through its Integrated Technical Cooperation Programme (ITCP). Key parts of this work are summarized in IMO's 2025 Annual Report.

STRATEGIC PLAN FOR 2024-2029

8 The IMO Assembly, at its thirty-third session in 2023, adopted resolution A.1173(33) on the Strategic Plan for the Organization for the six-year period of 2024 to 2029. The Resolution sets out the Organization's mission and vision statements, overarching principles, and strategic directions for that period.

FINANCIAL MANAGEMENT

Risk Management

9 Following the experience gained with the Risk Management Framework approved in 2008 with further enhancements in 2014, the Council, at its 133rd session, approved an enhanced Risk Management Policy and a Risk Appetite Statement that now forms the new Risk Management Framework.

10 The Risk Management Policy has been enhanced to reflect best practices within the United Nations system, as well as the Committee of Sponsoring Organizations of the Treadway Commission (COSO) approach, following the recommendations of the Joint Inspection Unit (JIU), as well as those of the internal and external audit conducted recently to assess the Secretariat's risk management process.

11 The Risk Appetite Statement has been developed based on the Guidelines on Risk Appetite Statements developed by the Risk Management Forum of the United Nations' High-Level Committee of Management (HLCM) and endorsed by the UN Chief Executive Board (CEB), to support more aligned strategic decision-making, timeliness of risk response implementation, and safeguarding of the Organization's assets.

12 The 2025 assessment of all potential risks impacting the Secretariat's objectives as established in the Secretariat's Business Plan focused on a holistic review of the Secretariat's areas of work expanding on potential risk in particular in the service areas related to Administration, i.e. Human Resource Services, Finance and Budget resources, Central Support Services, as well as technical cooperation activities taking into account the expansion of IMO's technical cooperation activities. This resulted in the inclusion of several new risks, thereby enhancing the Secretariat's risk management in critical areas.

13 In addition to the Risk Management Framework, IMO has an established framework of internal controls, including internal oversight, designed to maximize the effective and efficient use of its resources and safeguard its assets.

Governance

14 The Organization's governance is provided through the Assembly and the Council and is defined in the IMO Convention. The key management personnel of IMO consisted of the Secretary General- and six Divisional Directors. The key management personnel at WMU and IMLI are the President and the Director, respectively. Related party disclosures in line with IPSAS requirements are accordingly included in the notes to the financial statements. The Council is responsible for providing intergovernmental support and specific policy direction to, and supervision of, the activities of IMO. In view of its state membership- composition, the Council is not considered a related party as defined by IPSAS.

Funding

15 IMO's activities are mainly funded by assessed contributions from its Member States and Associate Members. Voluntary contributions from Member States, governmental agencies, intergovernmental bodies, and other public, private and non-governmental sources may support financially certain activities of the Organization, the finances of which may receive further support through commercial activities (including the sale of publications and catering and conference services), and through miscellaneous revenue (including interest on financial assets). Indirect support cost income, earned through third-party agreements with donors, is also used to fund activities provided for in the regular budget and to support the necessary infrastructure to deliver the Organization’s extra-budgetary work. IMO is in good financial health with adequate resources to meet its mandated activities.

Sustainability

16 In considering the Organization's financial sustainability, an evaluation of the consequences of any significant delays or defaults in payments from Member States or any reductions in contributions from donors in the context of the recent known market volatility has been made, and a review was also made to determine whether there could be a consequential reduction in the scale of operations and/or the delivery of the Strategic Plan, the High-level Action Plan and the Divisional Business Objectives. Having considered IMO's projected activities and the corresponding risks, it has been determined that the Organization has adequate resources to continue operating in the medium term. Overall, based on operating assumptions and known risks and mitigations, the Organization will continue as a "going concern" in preparing IMO's financial statements.

17 The assertion above is supported by i) the budget approved by the Assembly for the 2026-2027 biennium; ii) the scope and content of the Strategic Plan prepared for the period 2024-2029; iii) the net assets held at the end of the 2025 financial period, and the Assembly’s decision at its thirty-third session to reform the Special Contingency Account and Working Capital Fund to improve the Organization’s financial resilience; iv) the high level of collections of the assessed contribution of over 95% for the past 10 years; and v) the trend in donor support that has been sustaining IMO's mandate, including delivery of technical cooperation work, as determined by the Council and Assembly.

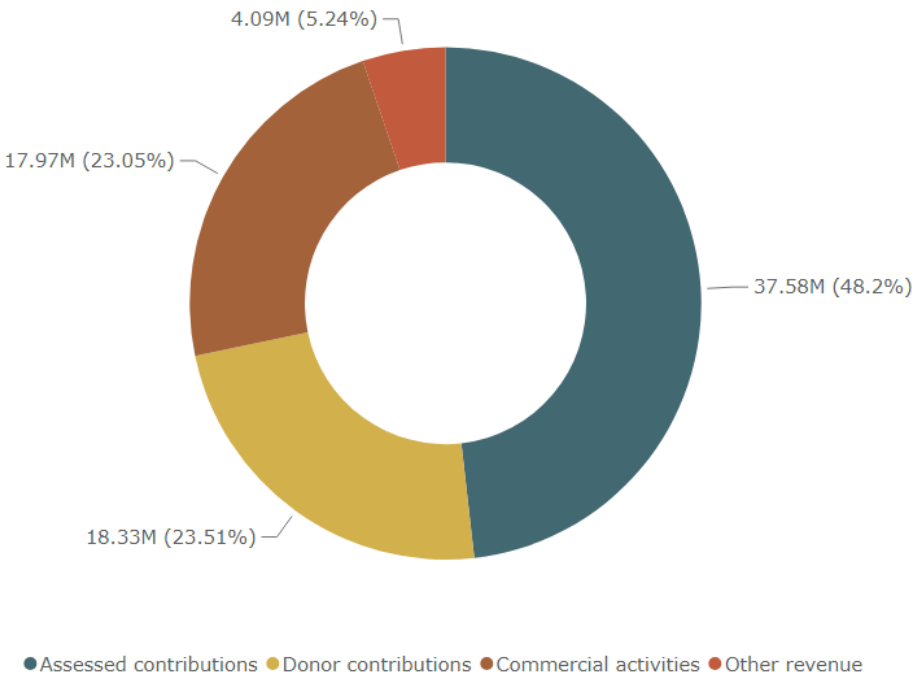
FINANCIAL AND BUDGET PERFORMANCE HIGHLIGHTS

18 The Organization delivered a strong financial performance in 2025, supported by consistently high assessment collection rates and rising commercial activity. Total revenue increased by 2.97% to £77.96 million, driven mainly by a growth in publication and cafeteria sales, along with a smaller increase in assessed contributions. Although donor contributions declined due to timing variations and investment income fell with lower interest rates, expenditure remained within budget across all Funds except the Termination Benefit Fund, where additional separation costs were met through regular budget savings. Overall, the Organization maintained a solid financial position with healthy reserves that reinforce financial resilience.

Financial Performance

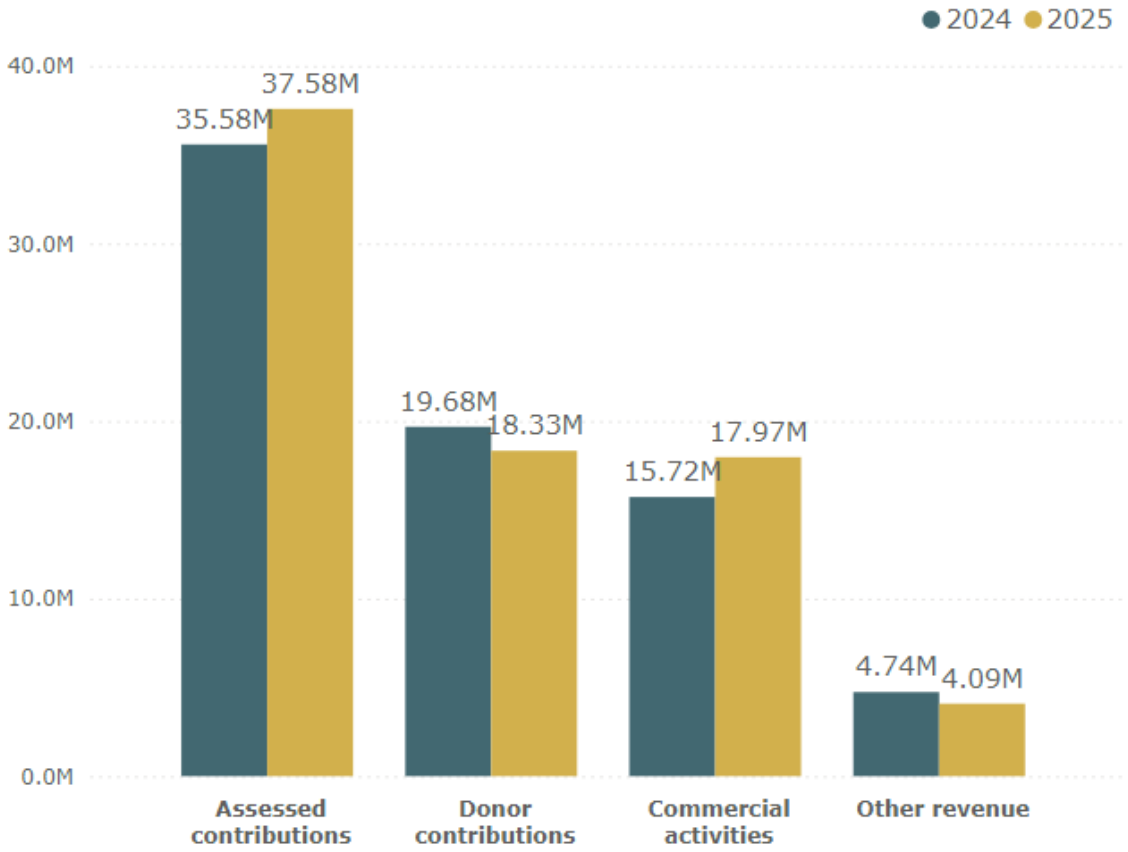
19 IMO's revenue comprises three main components: assessed contributions from Member States, voluntary contributions from donors, and revenue from commercial activities.

Chart I: Revenue by source (GBP millions)



20 Total revenue increased from £75.72 million in 2024 to £77.96 million in 2025, representing a year-on-year growth of approximately 2.97%. This increase was primarily driven by strong growth in commercial activities, which increased by £2.24 million to £17.97 million, with a smaller increase in the assessed contribution. These gains more than offset declines in other revenue streams, notably donor contributions, which fell by £1.35 million to £18.33 million, and other revenue, which decreased by £0.65 million to £4.09 million due to mainly lower interest earned in 2025 as GBP and USD interest rates fell.

Chart II: Revenue by source and year (GBP millions)



21 The assessed contribution revenue represents the total assessments for the year as approved by the IMO Assembly and remains the Organization's most important source of funding. The assessment collection rate of 99.10% is among the highest in the United Nations system. Charts III and IV provide the status of payments for 2025 and a comparison of the number of Member States and Associate Members with full, partial, and no payments for 2025 and 2024.

Chart III: Status of 2025 Assessments

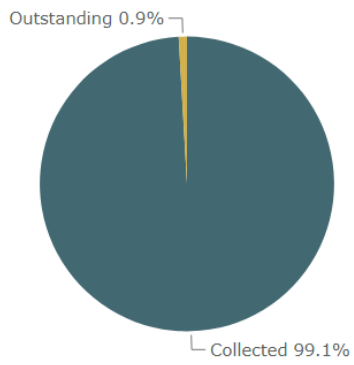
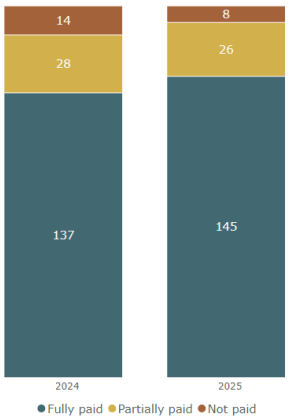
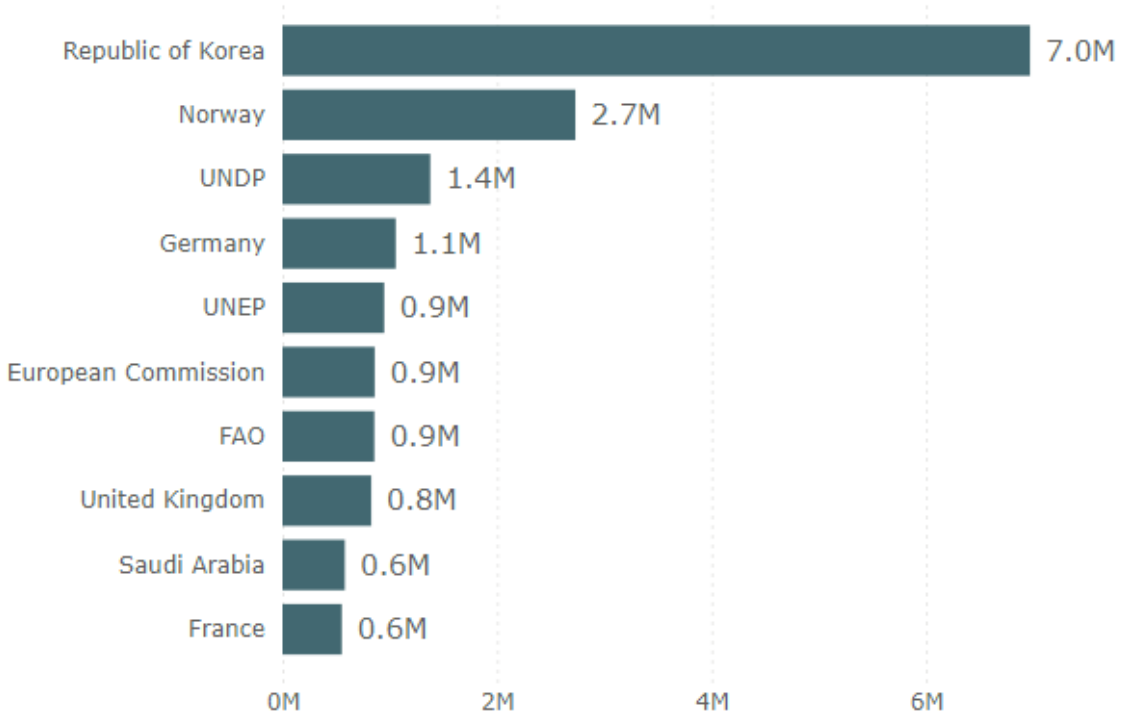


Chart IV: No. of Member States and Associate Members by Payment Status



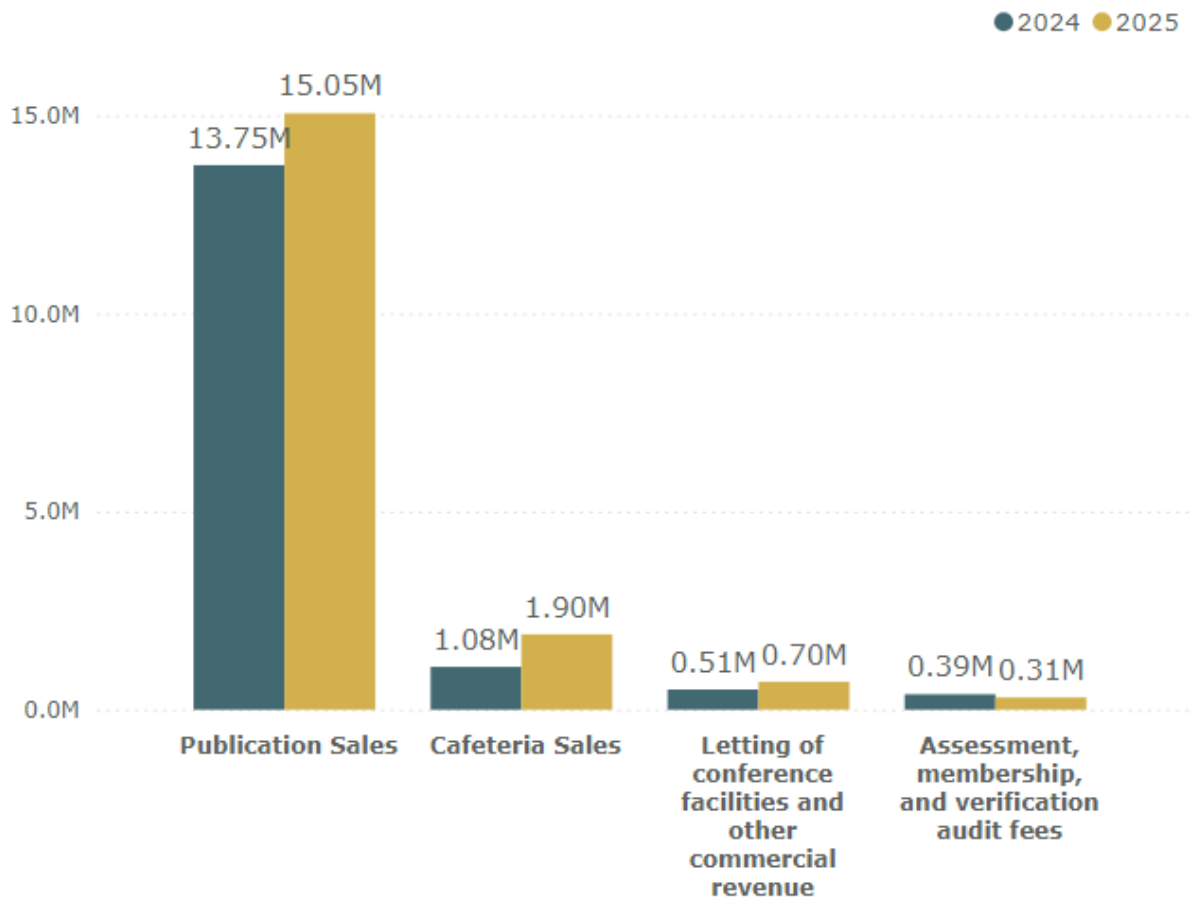
22 Donor contributions decreased 6.87% to £18.33 million (2024: £19.68 million). Donor revenue can fluctuate from year to year due to the timing of contributions. The top 10 donors are listed in Chart V.

Chart V: Top 10 Donors



23 Commercial activity revenue increased 14.27% to £17.97 million in 2025, compared to £15.72 million in 2024. As illustrated in Chart VI, this increase was primarily due to higher publication sales, while cafeteria sales reached a record level due to the expanded meetings programme.

Chart VI: Commercial Activities Revenue (GBP millions)

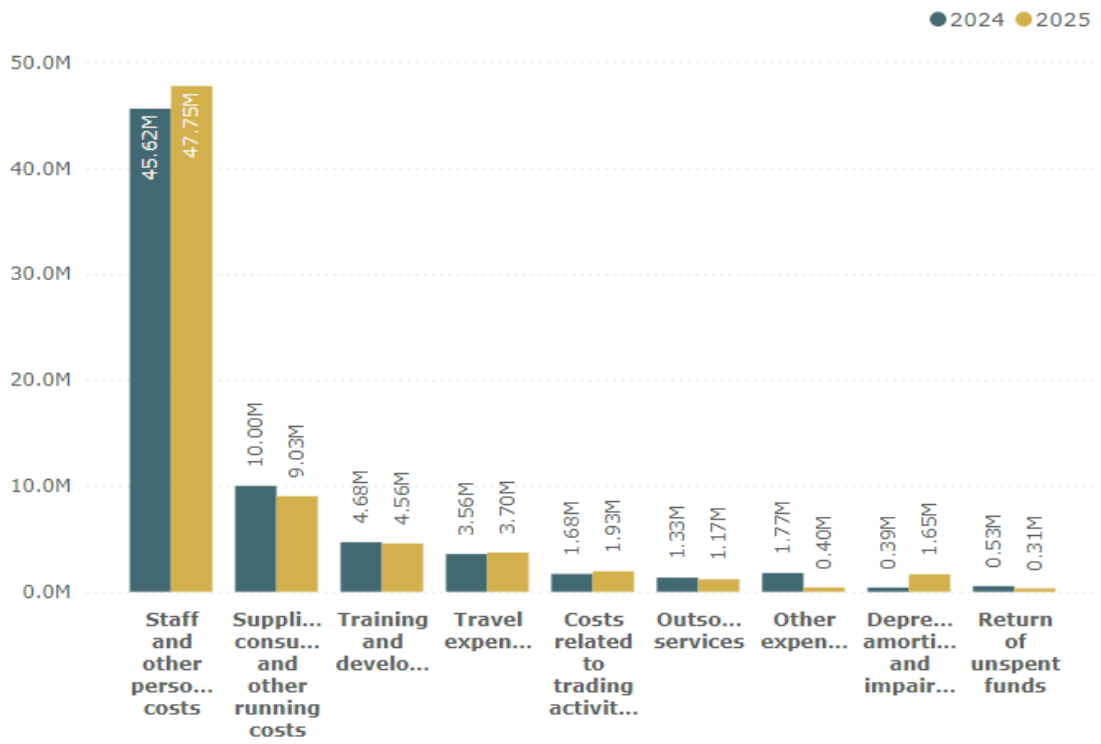


24 Other revenue decreased slightly to £4.09 million in 2025, down from £4.74 million in 2024, primarily due to lower interest rates and consequent decreases in investment income.

Budget performance and expenditure

25 Operating expenses increased by 1.35%, rising from £69.56 million in 2024 to £70.50 million in 2025. This increase was driven by higher staff costs resulting from a combination of factors which include inflation (for staff costs this is reflected by the ICSC set pay scales and benefits), costs associated with separations related to retirements and associated recruitment of new staff and settlement related benefits. The other component of the increase was as a result of the depreciation expense resulting from the capitalization of the building's right-of-use lease following the implementation of the IPSAS 43 – 'Leases'.

Chart VII: Expenditure (GBP millions)



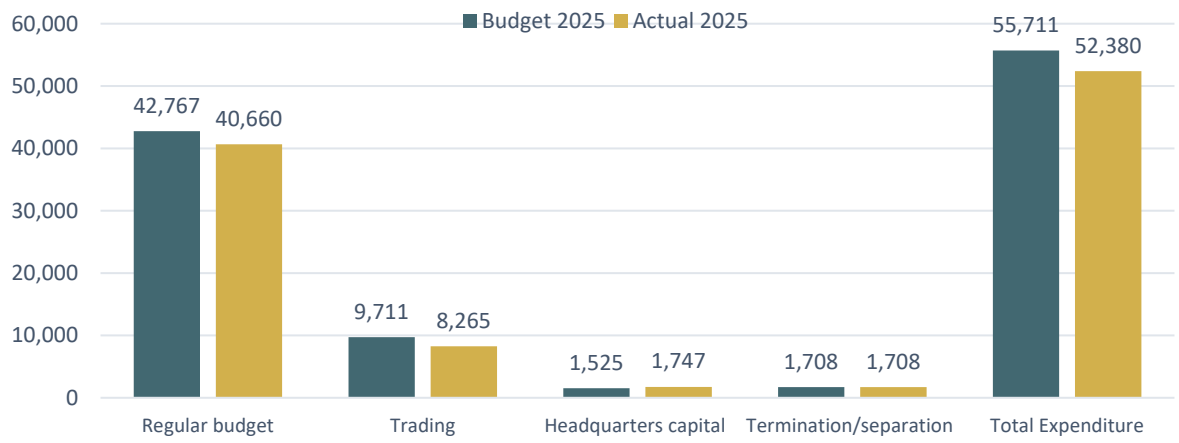
26 The Organization reports its financial results in GBP but holds a portion of its funds in US dollars, primarily for donor-funded projects. These projects are budgeted and executed in US dollars, so holding funds in that currency reflects operational needs rather than speculation. In 2025, the Organization experienced a currency exchange loss of £3.55 million, compared to a gain of £0.25 million in 2024, as the USD weakened when compared to GBP, but this change had no impact on the Organization's capacity to deliver its work.

27 The financial performance of revenue and expenses reflected in Statement II (Statement of Financial Performance) is presented on an IPSAS accrual basis and thus is different in its measurement and accounting from the budgetary performance of receipts and payments reflected in Statement V, which is prepared on a modified cash/accrual basis.

28 The thirty-third session of the Assembly held in December 2023 adopted resolution A.1179(33) on the Results-Based budget for the 2024-2025 biennium, in which it approved the budget for the financial periods 2024 and 2025 for the Organization's core funds. This included an appropriation for 2025 of £60,871,000 to be funded in part through projected income of £59,105,000. In addition, transfers of commitments from 2024, along with additional transfers between funds with the approval of the IMO Council, were also affected – following these transfers, the final appropriation for 2025 was £63,161,388.

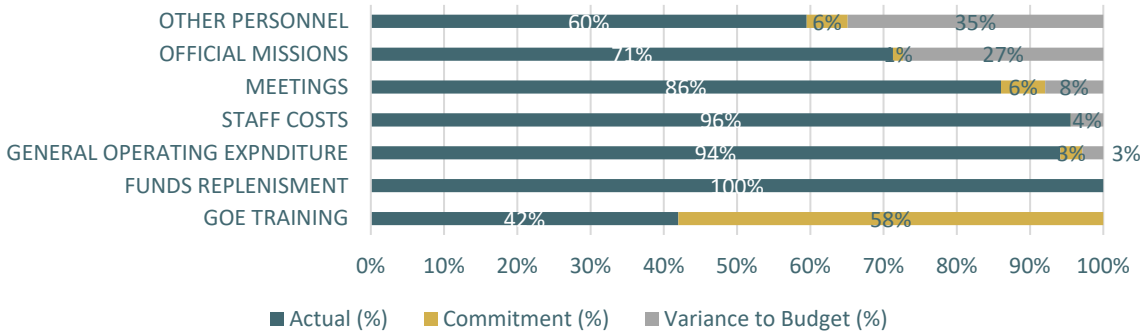
29 The actual expenditure for each Fund against the final 2025 budget is shown in the chart below:

Chart VIII: Budget expenditure against actual expenditure by Fund (in £'000)



30 For the regular budget, the expenditure profile across the main cost categories is shown in the chart below.

Chart IX: 2025 regular budget variance analysis to budget



31 The most significant variances arise as a result of the following factors:

a. **Other Personnel** – The largest variance in the Other Personnel cost category was driven by the postponement of some consultancy services planned for evaluation, in addition to a lower number of supernumerary resources being required during the year.

b. **Mission Travel** – The Organization continues to find efficiencies and enhancement of travel related policies with greater use of remote and hybrid participation. Furthermore, a large part of the savings related to travel related to the IMO Member State Audit Scheme (IMSAS), which saw a small number of audit postponements and a greater use of document-based follow-up audits where an on-site presence was not required.

c. **Meetings programme** – The Organization continues to enhance its provision of hybrid facilities, accommodating both in-person and virtual attendees. In 2025, efficiencies in optimising the scheduling of interpretation

sessions for the meetings programme also delivered savings as well as ongoing efforts on contracting efficiencies.

32 With respect to the Trading Fund, the expenditure is related to the costs associated with the Organization's commercial work – the production and sale of IMO publications, and the operation of the cafeteria. While sales have reached record levels in 2025, careful control of expenditures and the shift towards digital from physical sales of publications has allowed expenditure to be contained within the approved budget.

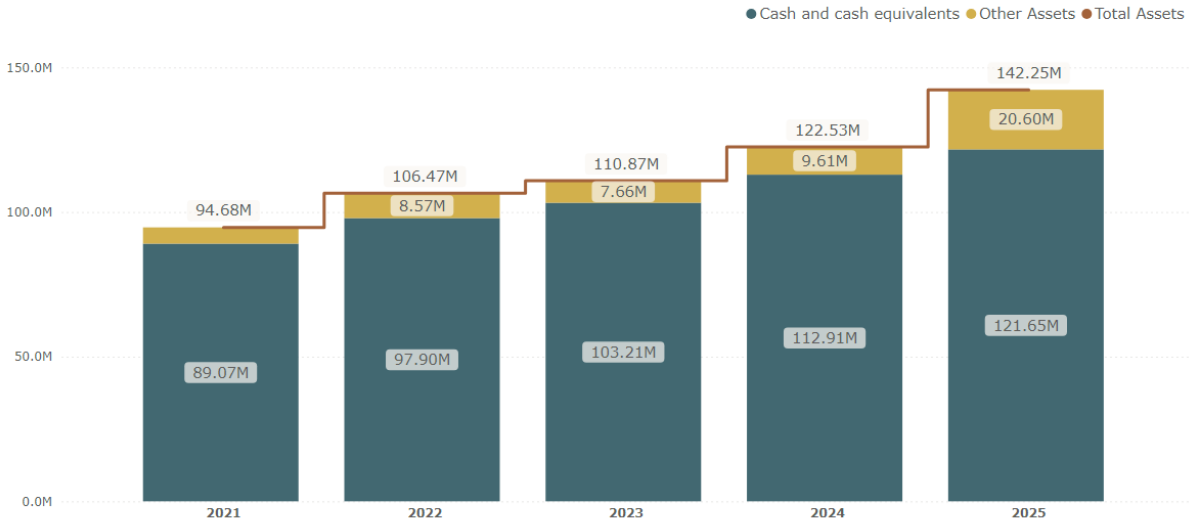
33 The Headquarters Capital Fund principally supported investment in the Organization's building improvement programme, with a particular focus on enhancing energy efficiency, including the ongoing lighting upgrade project. Significant investment was also directed towards strengthening the Organization's IT network infrastructure and cyber security capabilities. Further expenditure supported the replacement and modernization of equipment within the Headquarters building's conference facilities, with a continued focus on strengthening the capability to support hybrid meetings.

34 Total expenditure from the Technical Cooperation Fund (TC Fund) from the 2025 budget amounted to £3,423,414, with a further discharge of 2024 carried forward commitments in 2025 amounting to £641,436, overall resulting in the 2025 expenditure of £4,064,850. From the 2025 budget, a further £1,357,764 of funds were committed for delivery in 2026, relating to amounts contracted with delivery partners including WMU and UNDP for which the delivery is expected to take place early 2026. Including the commitments, this results in a 86% utilisation rate of the budget of the TC Fund for 2025.

Financial Position

35 The Organization maintains a healthy overall financial position in terms of solvency and liquidity. At the end of 2025, cash made up 85.52% of all IMO's assets, totalling £121.65 million, which is £8.73 million more than at the end of 2024. As shown in Chart X, this positive trend has been growing consistently in recent years.

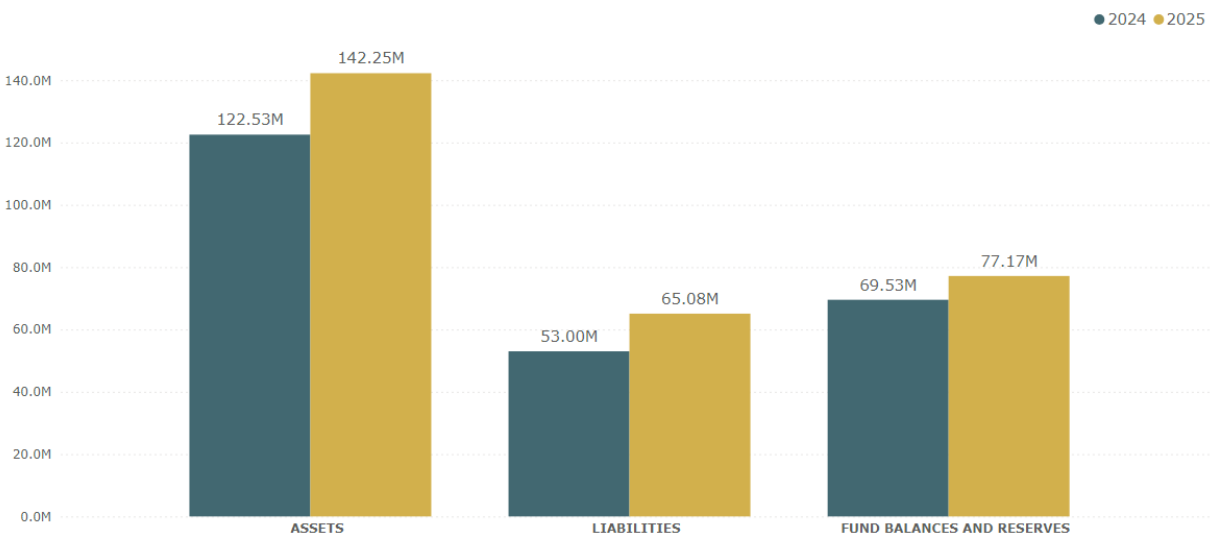
Chart X: Cash vs Total Assets (GBP millions)



36 The Organization invested its surplus cash in short-term deposits that will mature in 2026. As of 31 December 2025, these deposits totalled £80.66 million, representing 66.30% of the available cash balance.

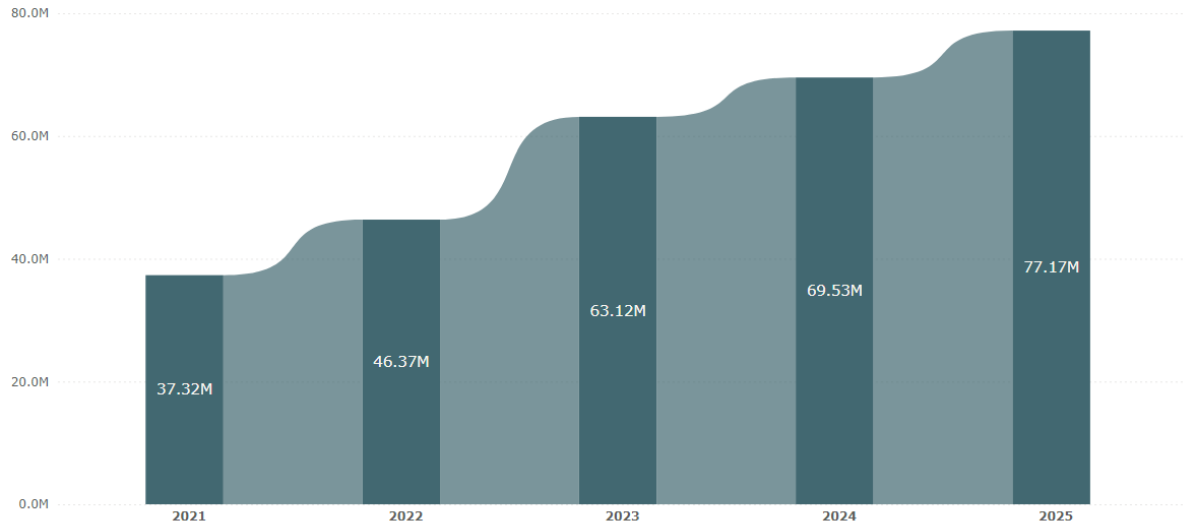
37 The ratio for assets over liabilities of 2.19 is high, which is a good indicator of the Organization's solvency, its ability to pay off both its current and long-term liabilities. Fund Balances and Reserves increased in 2025 by £7.64 million, representing the combined effect of the net operating surplus of £7.46 million, currency exchange loss of £3.55 million, and actuarial valuation gain of 3.73 million.

Chart XI: Financial Position (GBP millions)



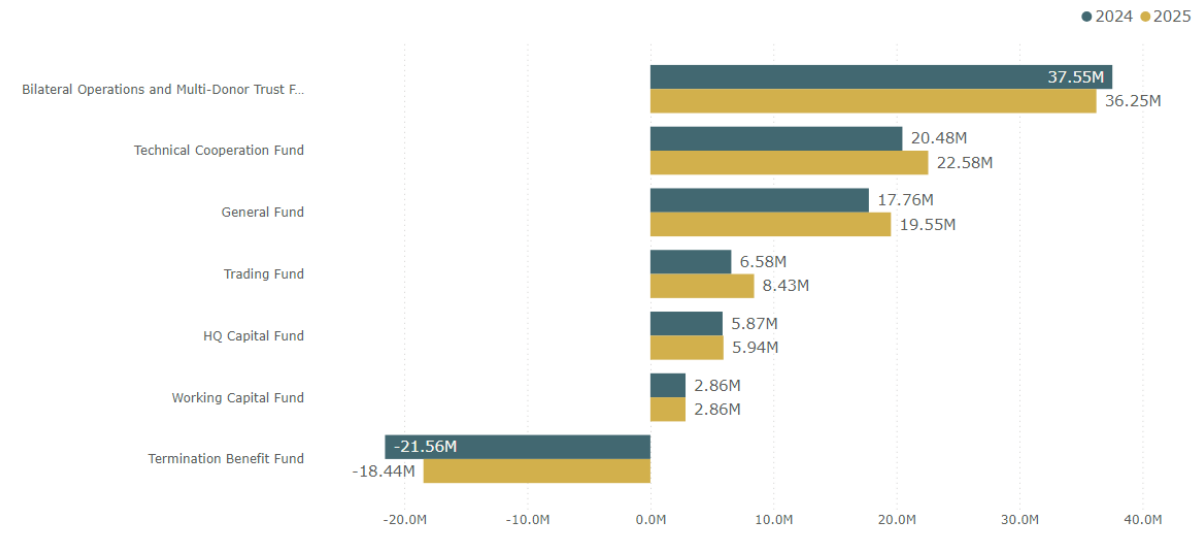
38 Fund Balances and Reserves have continued to increase as shown in Chart XII, with a large part of this increase relating to the expanding donor-funded work of the Organization, as donor funds are typically received in advance of expenditure being incurred.

Chart XII: Fund Balances and Reserves 2021-2025 (GBP millions)



39 The closing Fund Balances and Reserves of £77.17 million (2024: £69.53 million) represent the fund balances for the Organization as a whole. However, it includes 46.97% or £36.25 million (2024: £37.55 million) that is tied to multi-donor trust funds and bilateral agreements with donors, as shown in Chart XIII. The use of these funds is governed by the respective Fund's Terms of Reference or the agreement with the donor, and consequently, they are not available for general use. For more detailed information on the balances of major funds, refer to Note 2.13 in the financial statements.

Chart XIII: Fund Balances and Reserves (GBP millions)



40 Nevertheless, the financial positions of the 'core' funds – the General Fund, Working Capital Fund, Headquarters Capital Fund, and Technical Cooperation Fund remain relatively strong. Much of the surplus in the Trading Fund will, in due course, be transferred to the Technical Cooperation Fund. The Termination Benefit Fund shows a deficit of £18.44 million (2024: £21.56 million), which is the unfunded portion of the long-term liability relating to the Organization's After-Service Health Insurance (ASHI) scheme. The Organization has set aside funds of £10.44 million to meet these liabilities through individual transfers and through the establishment of a regular funding mechanism for all staff other than those on the Organization's regular budget. Nevertheless, there is a proportion of the liability that remains unfunded.

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CHAIR OF THE AUDIT BOARD
REPUBLIC OF INDONESIA

Letter of transmittal

Number: 54/B/S/KETUA/POI.1/05/2026

Chair of the Council
International Maritime Organization
4 Albert Embankment
SE1 7SR, London UK

Dear Chair,

In accordance with the Article XII of the International Maritime Organization's (the Organization) Financial Regulations and Financial Rules, I have the honour of presenting the audit report of the Audit Board of the Republic of Indonesia or Badan Pemeriksa Keuangan (BPK).

This report comprises the External Auditor's Opinion and the External Auditor's Long-Form Report on the audited financial statements of the Organization for the year ended 31 December 2025, prepared by the Organization.

Yours sincerely,

Dr. Isma Yatun, CSFA., CFrA.
Chair of the Audit Board of the Republic of Indonesia
External Auditor

Jakarta, Indonesia
19 May 2026



I. Report of the external auditor on the financial statements: audit opinion

To the Council of the International Maritime Organization

Opinion

We have audited the financial statements of the International Maritime Organization (IMO or the Organization), which comprise the statement of financial position as at 31 December 2025, the statement of financial performance, the statement of changes in net assets, the statement of cash flows, and the statement of comparison of budget and actual amounts for the year then ended, and notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position as at 31 December 2025, and its financial performance and cash flows for the year then ended of the Organization in accordance with International Public Sector Accounting Standards (IPSAS).

Basis for opinion

We conducted our audit in accordance with the International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report.

We are independent of the Organization, in accordance with the ethical requirements that are relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence that we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information

Management is responsible for the other information. The other information comprises the Secretary General's Statement, contained below, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, on the basis of the work that we have performed, we conclude that there is a material misstatement in such other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IPSAS, and for such internal control as Management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, Management is responsible for assessing the Organization's ability to continue as a going concern, disclosing, as applicable, matters related to going concern, and using the going

concern basis of accounting unless Management either intends to liquidate the Organization or to cease operations, or has no realistic alternative but to do so.

The Council, as those charged with governance, is responsible for overseeing the Organization's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but it is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

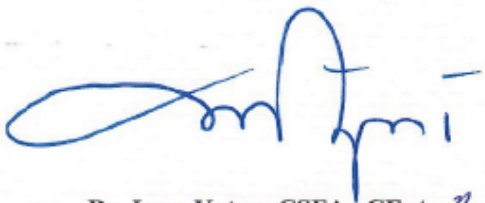
A further description of our responsibilities for the audit of the financial statements is included in the annex of the auditor's report. This description is part of our auditor's report.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other legal and regulatory requirements

Furthermore, in our opinion, the transactions of the Organization that have come to our notice or which we have tested as part of our audit have, in all significant respects, been in accordance with the Organization's Financial Rules.

In accordance with Article XII of the Organization's Financial Regulations and Financial Rules, we have also issued a long-form report on our audit of the Organization.



Dr. Isma Yatun, CSFA., CFrA.
Chair of the Audit Board of the Republic of Indonesia
External Auditor

Jakarta, Indonesia
19 May 2026

INTERNATIONAL MARITIME ORGANIZATION

27 February 2026

Dr. Isma Yatun
Chairperson
The Audit Board of the Republic of Indonesia
Jalan Gatot Subroto 31, Jakarta 10210
Indonesia

Letter of Transmittal

Dear Dr. Yatun,

Pursuant to financial regulation 11.2, we have the honour to submit the financial statements for the year ended 31 December 2025 of the International Maritime Organization, certified and approved in accordance with financial regulation 11.1, along with the Statement on Internal Control for the financial period 2025 which does not form a part of the financial statements.

We confirm, to the best of our knowledge and belief, and having made appropriate enquiries with other officials of the Organization, the following representations in connection with your audit of the financial statements of the International Maritime Organization for the year ended 31 December 2025.

We are responsible for preparing financial statements that properly present the activities of the Organization, and for making accurate representations to you. All accounting records and related information have been made available for the purpose of your audit, and all transactions that occurred in the financial period have been, properly reflected in the financial statements and recorded by the Organization in the accounting and other records.

1 The financial statements have been prepared and presented in accordance with:
   a. the International Public Sector Accounting Standards;
   b. the Financial Regulations and Financial Rules of the Organization; and
   c. the accounting policies of the Organization, as summarized in note 1 to the financial statements.

2 The Organization implemented two new accounting standards effective 1 January 2025, IPSAS 43 – "Leases", which supersedes IPSAS 13, and IPSAS 45 – "Property, Plant and Equipment", which supersedes IPSAS 17. The adoption of IPSAS 43 had a material impact on the financial statements, primarily through the recognition of a right-of-use asset and corresponding lease liability for the Headquarters building lease on the Statement of Financial Position. The adoption of IPSAS 45 has resulted in the disclosure of heritage assets in the notes to the financial statements. In addition, the Organization has increased its accounting policy with respect to its asset capitalization threshold from £500 to £3,500. Except for the changes arising from the implementation of these two standards and the revised capitalization threshold, the accounting policies used by the Organization as stated in the financial statements are consistent with those of the previous year.

3 Within the meaning of IPSAS 35, IMO also controls WMU and IMLI for financial reporting purposes, the financial records of which are presented in the consolidated financial statements.

4 Albert Embankment • London SE1 7SR • United Kingdom • +44 (0)20 7735 7611 www.imo.org

4 The value of cash, cash equivalents and investments recorded is not impaired and, in our opinion, is fairly stated.

5 All material accounts receivables have been included in the financial statements and represent valid claims against debtors or future economic benefits to the Organization. Apart from the estimated uncollectable contributions receivable as presented in note 2.2, we expect all significant accounts receivable at 31 December 2025 to be collected.

6 The inventories, property, plant and equipment, and the intangible assets disclosed in notes 2.3, 2.7 and 2.8 to the financial statements, respectively, are owned by the Organization and are free from any charge.

7 All known accounts payable and accruals have been included in the financial statements.

8 The commitments of the Organization for the acquisition of goods and services, as well as the capital commitments contracted but not delivered as at 31 December 2025, have been disclosed in note 7.1 to the financial statements. Commitments for future expenses have not been recognized as liabilities.

9 All known legal or contingent liabilities as at 31 December 2025 have been disclosed in note 7.2 to the financial statements.

10 All expenses reported during the period were incurred in accordance with the financial regulations and financial rules of the Organization and any specific donor requirements.

11 All losses of cash or receivables, ex gratia payments, frauds and presumptive frauds, wherever incurred, were communicated to the External Auditors and are reported in note 8.

12 Disclosure is made, in the financial statements, of all matters necessary to enable them to present fairly the results of transactions during the period.

13 There have been no known events since the IMO reporting date of 31 December 2025 that necessitate revision of the information presented in the financial statements thereto.

Azara Prempeh
Director, Administrative Division

Arsenio Dominguez
Secretary-General

27 February 2026

STATEMENT ON INTERNAL CONTROL
FOR THE YEAR ENDED 31 DECEMBER 2025

Scope of responsibility

1. As Secretary-General and Director of the Administrative Division of the International Maritime Organization (IMO), we are accountable, in accordance with the responsibilities assigned in Article X of the Financial Regulations, for establishing financial rules and procedures to ensure effective financial administration and the exercise of economy, and for maintaining internal financial control.

Purpose of the system of internal control

2. The system of internal control is designed to reduce and manage rather than eliminate the risk of failure to achieve the Organization's policies, aims and objectives. Therefore, it can only provide a reasonable and not absolute assurance of effectiveness. It is based on an ongoing process designed to identify principal risks, evaluate the nature and extent of those risks and manage them efficiently, effectively and economically. Internal control is a process effected by the Council, the Secretary-General, senior management and other members of the Secretariat, and designed to provide reasonable assurance on the achievement of the following internal control objectives:

    - the regularity of the receipt, custody, and disposal of all funds and other financial resources of the Organization;

    - the conformity of obligations and expenditures with the appropriations or other financial provision voted by the Assembly, or with the purposes and rules relating to trust and other special funds; and

    - the economic use of the resources of the Organization.

3. Thus, on an operational level, IMO's internal control system is not solely a policy or procedure that is performed at certain points in time, but rather continually operated at all levels within the Organization through internal control processes to ensure the above objectives.

4. The current statement on IMO's internal control processes, as described above, applies for the year ended 31 December 2025, and is up to the date of the approval of the Organization's 2025 financial statements.

Risk management and internal control

5. The Organization operates a Risk Management Framework, developed and approved by the Council. Under this Framework, the Organization is required to conduct a biennial risk assessment exercise to identify and analyse risks to the delivery of the Secretariat's Business Plan, to develop and implement mitigation measures where those risks are considered to be unacceptably high and report the outcome of this exercise to the Council. Between these reports and throughout the biennium, the application of the principles of risk management and the mitigation of risks to the extent practically possible is an ongoing process at the Organization. The outcome of both the risk assessment exercise and the ongoing monitoring of the risks throughout the biennium informs the assessments of the effectiveness of the established system of internal control.

Review of effectiveness

6. The review of the effectiveness of the system of internal control is also informed by:

   - senior managers, each of whom has a role to play in the system of internal control and has been assigned specific delegations within the framework provided by the Financial Regulations and Financial Rules, Procurement Manual and Budget Manual. Each staff member assigned such delegated responsibility has provided me with an individual attestation on internal control for the year ended 31 December 2025 which acknowledges the scope of their responsibility, reports any significant weaknesses identified in internal controls along with steps being taken to address them, and confirms that internal controls are operating effectively within their area of responsibility;

   - the work of the Internal Oversight and Ethics Office (IOEO), which has a dual function, both as internal oversight to provide me with reports on internal audits and evaluations conducted during the year to provide independent and objective information on the adequacy and effectiveness of the Organization's system of internal controls, and as the ethics office to provide confidential advice and counsel to the Organization and its staff on ethics and standards of conduct, promote ethical awareness and responsible behaviour and handle referrals of allegations of unethical behaviour or conflicts of interest. Relevant matters are reported to the Council under the renamed agenda item on "Internal Oversight, Ethics and Joint Inspection Unit";

   - the External Auditor, the Chair of the Audit Board of the Republic of Indonesia, who provides me with a management letter identifying any issues of control identified during their annual audit and provides the Council and Assembly with an opinion on the accuracy of the Organization's financial statements; and

   - the Council, which reviews the outcomes of the biennial risk assessment exercise and identifies any action which it believes is necessary to address the findings thereof.

7. For the year 2025, there have been no significant issues to report in the operation of internal controls.

Conclusion

8. Effective internal control, no matter how well designed, has inherent limitations, including the possibility of circumvention and therefore can only provide reasonable assurance. Furthermore, because of changes in conditions, the effectiveness of internal control may vary over time. In recognizing this, however, concludes that, to the best of our knowledge and information, the IMO Secretariat generally had an effective system of internal control for the year ended 31 December 2025, and up to the date of the approval of the financial statements for that year.

Azara Prempeh
Director, Administrative Division

Arsenio Dominguez
Secretary-General

27 February 2026

INTERNATIONAL MARITIME ORGANIZATION

FINANCIAL STATEMENTS

31 DECEMBER 2025

INTERNATIONAL MARITIME ORGANIZATION
STATEMENT I
STATEMENT OF FINANCIAL POSITION
as at 31 December 2025
(GBP)

		IMO		Consolidated	
	Note	2025	2024	2025	2024
ASSETS					
Current Assets					
Cash and Cash Equivalents	2.1	121,649,097	112,914,723	140,602,546	130,390,046
Contributions Receivable	2.2	2,402,465	2,058,822	2,402,465	2,060,894
Inventories	2.3	516,027	735,650	600,688	806,071
Advances to Sub-contractors and Partners	2.4	3,029,866	1,169,694	3,029,866	1,169,694
Other Receivables and Prepayments	2.5	5,367,490	3,530,597	7,239,684	4,859,985
Total Current Assets		**132,964,945**	**120,409,486**	**153,875,249**	**139,286,690**
Non-Current Assets					
Investments	2.6	-	-	12,715,108	12,565,460
Property, Plant and Equipment	2.7	9,205,773	2,012,803	9,504,839	2,367,805
Intangible Assets	2.8	75,730	102,905	75,730	102,905
Total Non-Current Assets		**9,281,503**	**2,115,708**	**22,295,677**	**15,036,170**
TOTAL ASSETS		**142,246,448**	**122,525,194**	**176,170,926**	**154,322,860**
LIABILITIES					
Current Liabilities					
Payables and Accruals	2.9	20,035,611	12,800,771	26,890,185	18,541,344
Provisions for Warranties	2.10	13,754	25,727	13,754	25,727
Employee Benefits - Current	2.11	256,556	181,605	281,456	200,253
Finance Lease Liabilities - Current	2.12	1,021,265	123,992	1,021,265	123,992
Total Current Liabilities		**21,327,186**	**13,132,095**	**28,206,660**	**18,891,316**
Non-Current Liabilities					
Employee Benefits - Non-Current	2.11	37,697,259	39,597,729	40,297,433	41,809,191
Finance Lease Liabilities - Non-Current	2.12	6,052,896	267,247	6,052,896	267,247
Total Non-Current Liabilities		**43,750,155**	**39,864,976**	**46,350,329**	**42,076,438**
TOTAL LIABILITIES		**65,077,341**	**52,997,071**	**74,556,989**	**60,967,754**
NET ASSETS		**77,169,107**	**69,528,123**	**101,613,937**	**93,355,106**
Fund Balances and Reserves	2.13	73,261,755	63,122,272	99,575,336	82,998,372
Surplus for the year		3,907,352	6,405,851	2,038,601	10,356,734
TOTAL FUND BALANCES AND RESERVES	**2.13**	**77,169,107**	**69,528,123**	**101,613,937**	**93,355,106**

The accompanying notes form an integral part of these financial statements.

INTERNATIONAL MARITIME ORGANIZATION
STATEMENT II

STATEMENT OF FINANCIAL PERFORMANCE
for the year ended 31 December 2025
(GBP)

		IMO		Consolidated	
	Note	2025	2024	2025	2024
REVENUE					
Assessed Contributions	3.1	37,581,000	35,576,938	37,581,000	35,576,938
Donor Contributions	3.2	18,327,668	19,680,587	25,459,319	25,661,293
Commercial Activities	3.3	17,967,124	15,723,200	20,756,272	17,713,001
Fellowships	3.4	-	-	6,362,854	6,683,592
Other Revenue	3.5	4,087,491	4,735,966	4,871,678	6,924,010
TOTAL REVENUE		**77,963,283**	**75,716,691**	**95,031,123**	**92,558,834**
EXPENSES					
Staff and Other Personnel Costs	4.1	47,750,763	45,615,158	58,685,304	55,470,092
Travel Expenses	4.2	3,695,903	3,559,805	4,730,558	4,418,863
Supplies, Consumables and Other Running Costs	4.3	9,028,520	10,001,482	10,431,324	11,471,813
Costs Related to Trading Activities	4.4	1,929,962	1,680,023	1,946,256	1,696,015
Outsourced Services	4.5	1,172,102	1,329,518	1,582,341	1,591,725
Training and Development	4.6	4,561,084	4,677,896	6,268,102	6,028,340
Depreciation, Amortization and Impairment	4.7	1,650,304	390,982	1,880,292	629,693
Return of Unspent Funds	4.8	313,316	534,711	313,316	534,711
Other Expenses	4.9	401,973	1,772,484	670,874	1,987,895
TOTAL EXPENSES		**70,503,927**	**69,562,059**	**86,508,367**	**83,829,147**
OPERATING SURPLUS FOR THE YEAR		**7,459,356**	**6,154,632**	**8,522,756**	**8,729,687**
Currency Exchange Gain / (Loss)	4.10	(3,552,004)	251,219	(6,484,155)	1,627,047
NET SURPLUS/(DEFICIT) FOR THE YEAR		**3,907,352**	**6,405,851**	**2,038,601**	**10,356,734**

The accompanying notes form an integral part of these financial statements.

INTERNATIONAL MARITIME ORGANIZATION
STATEMENT III

STATEMENT OF CHANGES IN NET ASSETS
for the year ended 31 December 2025
(GBP)

	Note	IMO		Consolidated	
		2025	2024	2025	2024
Opening balance 1 January		**69,528,123**	**63,122,272**	**93,355,106**	**84,621,089**
Surplus for the year	6.2.2	3,907,352	6,405,851	2,038,601	10,356,734
Other Movements					
Actuarial gain for the year	2.11	3,733,632	-	3,733,632	-
Exchange rate effect	10		-	2,486,598	(1,622,717)
Total movement for the year		**7,640,984**	**6,405,851**	**8,258,831**	**8,734,017**
TOTAL NET ASSETS		**77,169,107**	**69,528,123**	**101,613,937**	**93,355,106**

The accompanying notes form an integral part of these financial statements.

INTERNATIONAL MARITIME ORGANIZATION
STATEMENT IV

STATEMENT OF CASH FLOWS
for the year ended 31 December 2025
(GBP)

	IMO		Consolidated	
	2025	2024	2025	2024
Cash flow from operating activities:				
Surplus for the period	3,907,352	6,405,851	2,038,601	10,356,734
Depreciation of Property, Plant and Equipment[1]	1,562,297	356,792	1,791,722	595,504
Net loss on disposal of Property, Plant and Equipment	4,246	1,429	5,164	1,429
Amortization of Intangible Assets[1]	27,175	16,852	27,175	16,852
Effect of currency exchange on Cash and Cash Equivalent	817,840	63,894	3,671,303	(1,519,011)
(Increase) in Contributions Receivable	(343,643)	(960,837)	(341,571)	(962,909)
Decrease/(increase) in Inventories	219,623	(168,920)	205,383	(170,193)
(Increase) in Advances to Sub-contractors and Partners	(1,860,172)	(508,775)	(1,860,172)	(508,775)
(Increase)/decrease in Other Receivables and Prepayments	(1,836,893)	380,101	(2,379,699)	272,705
Increase in Payables and Accruals	7,234,840	3,360,601	8,348,841	3,072,716
(Decrease) in Provisions for Warranties	(11,973)	(13,806)	(11,973)	(13,806)
Increase/(decrease) in Employee Benefits – Current	74,951	(140,318)	81,203	(202,566)
(Decrease)/increase in Employee Benefits - Non-Current	(1,900,470)	1,652,799	(1,511,758)	1,941,686
Net cash flows from operating activities	**7,895,173**	**10,445,663**	**10,064,219**	**12,880,366**
Cash flows from investing activities:				
Investments	-	-	(149,648)	(2,345,687)
Purchases of Property, Plant and Equipment[1,2]	(8,759,513)	(1,026,301)	(8,933,920)	(1,142,497)
Purchases of Intangible Assets[1]	-	(38,956)	-	(38,956)
Net cash flows from investing activities	**(8,759,513)**	**(1,065,257)**	**(9,083,568)**	**(3,527,140)**
Cash flows from financing activities:				
Increase in Finance Lease Liabilities – Current[2]	897,273	123,992	897,273	123,992
Increase in Finance Lease Liabilities – Non-Current[2]	5,785,649	267,247	5,785,649	267,247
Net cash flows from financing activities	**6,682,922**	**391,239**	**6,682,922**	**391,239**
Other Movements in Net Assets	3,733,632	-	3,733,632	(1,622,717)
Gain on Exchange on Consolidation	-	-	2,486,598	-
Effect of Exchange Rate Changes on Cash and Cash Equivalents	(817,840)	(63,894)	(3,671,303)	1,519,011
Net increase in Cash and Cash Equivalents	**8,734,374**	**9,707,751**	**10,212,500**	**9,640,759**
Cash and Cash Equivalents at beginning of the year	**112,914,723**	**103,206,972**	**130,390,046**	**120,749,287**
Cash and Cash Equivalents at end of the year	**121,649,097**	**112,914,723**	**140,602,546**	**130,390,046**

The accompanying notes form an integral part of these financial statements.

1 Depreciation of Property, Plant and Equipment, amortization of Intangible Assets, purchases of Property, Plant, and Equipment and Intangible Assets include the effect of the exchange rate adjustment for exchange rate movements in the year. The consolidated statements in notes 2.7 and 2.8 show additions and foreign exchange adjustments separately rather than in aggregate.

2 The reported figures include a £7,867,610 increase in PPE and a £6,921,509 increase in Finance Lease Liabilities arising from the recognition of the Headquarters building and the associated lease after the introduction of IPSAS 43 – "Leases". Comparative 2024 figures were not restated in accordance with the relevant transitional provisions. Further details are provided in Notes 2.7 and 2.12.

INTERNATIONAL MARITIME ORGANIZATION
STATEMENT V
STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS
IMO AND CONSOLIDATED
for the year ended 31 December 2025
(GBP)

	Budget Amounts[2]				Actual Amounts on Comparable Basis[2]		Variances: Final Budget and Actual Amounts	
	Original 2025	Original 2024	Final 2025	Final 2024	2025	2024	2025	2024
Receipts[1]								
Assessed contributions	37,581,000	35,572,000	37,581,000	35,572,000	38,424,235	35,075,304	(843,235)	496,696
Support costs income	1,827,000	1,880,000	1,827,000	1,880,000	2,657,914	2,561,110	(830,914)	(681,110)
Trading income	15,805,000	15,311,000	15,805,000	15,311,000	17,416,224	15,404,724	(1,611,224)	(93,724)
Other income	1,972,000	2,121,000	1,972,000	2,121,000	1,633,387	1,640,894	338,613	480,106
Funds Transfer	1,920,000	1,742,000	1,920,000	1,742,000	1,920,000	1,742,000	-	-
IMO Subtotal	*59,105,000*	*56,626,000*	*59,105,000*	*56,626,000*	*62,051,760*	*56,424,032*	*(2,946,760)*	*201,968*
WMU	14,307,500	12,860,400	14,696,000	13,300,000	14,362,079	14,414,453	333,921	(1,114,453)
IMLI	2,212,602	2,167,789	3,207,176	2,579,216	3,014,802	2,626,371	192,374	(47,155)
Subtotal Education and research	16,520,102	15,028,189	17,903,176	15,879,216	17,376,881	17,040,824	526,295	(1,161,608)
Overall total receipts	**75,625,102**	**71,654,189**	**77,008,176**	**72,505,216**	**79,428,641**	**73,464,856**	**(2,420,465)**	**(959,640)**
Payments[1&3]								
Regular budget strategic results[4]	42,730,000	40,923,000	42,767,403	40,800,231	40,584,569	38,332,337	2,182,834	2,467,894
Trading	9,711,000	10,110,000	9,894,734	10,259,896	8,353,319	8,517,206	1,541,415	1,742,690
Headquarters capital	1,525,000	1,565,000	2,575,113	1,797,465	2,062,251	1,520,524	512,862	276,941
Termination/separation[4]	1,330,000	1,330,000	1,707,702	1,563,176	1,707,702	1,563,176	-	-
Technical Cooperation (TC Fund)	5,575,000	5,206,000	6,216,436	5,860,374	4,064,850	4,635,485	2,151,586	1,224,889
IMO Subtotal	*60,871,000*	*59,134,000*	*63,161,388*	*60,281,142*	*56,772,691*	*54,568,728*	*6,388,697*	*5,712,414*
WMU	14,110,400	12,785,700	14,317,300	12,959,800	14,019,500	13,392,600	297,800	(432,800)
IMLI	2,110,257	1,864,107	2,656,722	2,127,536	2,359,366	2,180,842	297,356	(53,306)
Subtotal Education and research	*16,220,657*	*14,649,807*	*16,974,022*	*15,087,336*	*16,378,866*	*15,573,442*	*595,156*	*(486,106)*
Overall total payments	*77,091,657*	**73,783,807**	**80,135,410**	**75,368,478**	**73,151,557**	**70,142,170**	**6,983,853**	**5,226,308**
NET (DEFICIT)/SURPLUS - IMO	**(1,766,000)**	**(2,508,000)**	**(4,056,388)**	**(3,655,142)**	**5,279,069**	**1,855,304**	**(9,335,457)**	**(5,510,446)**
NET (DEFICIT)/SURPLUS - CONSOLIDATED	**(1,466,555)**	**(2,129,618)**	**(3,127,234)**	**(2,863,262)**	**6,277,084**	**3,322,686**	**(9,404,318)**	**(6,185,948)**

[1] Classification of receipts or payments follows the same basis as the approved budget and is different from the classification shown in Statement II which presents it by nature/function.

[2] Budget amounts are on a modified accrual basis (IMO) and an accrual basis (WMU and IMLI) as approved by the respective governing bodies and the actual amounts are on the same basis as the budget amounts.

[3] The Final Budget for 2025 includes Donations from Singapore and the United Kingdom of £511,656, in addition to transfers of committed funds from 2024 to 2025 amounting to £1,778,732, as detailed in Note 7.1.

[4] The Final Budget for termination/separation for 2025 incorporates a transfer of £377,702 from the savings in the Regular Budget to the Termination Benefits Fund, as approved by the IMO Council at its 135th session.

The accompanying notes form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS AS AT 31 DECEMBER 2025

NOTE 1: ACCOUNTING POLICIES

Basis of Preparation

1 The financial statements of the International Maritime Organization (IMO) have been prepared on the accrual basis of accounting in accordance with the International Public Sector Accounting Standards (IPSAS) using the historic cost convention. Where a specific matter is not covered by IPSAS, the appropriate International Financial Reporting Standards (IFRS) have been applied. No Standards have been adopted prior to their required implementation date, and no transitional provisions are in operation.

2 The Cash Flow Statement is prepared using the indirect method.

3 Within the meaning of IPSAS 35 – "Consolidated Financial Statements" the Organization is a controlling entity with two controlled entities, the World Maritime University (WMU) and the IMO International Maritime Law Institute (IMLI) based in Sweden and Malta, respectively. Neither WMU nor IMLI has equity and the Organization's control is not by means of shareholding; however, their Charter and Statute, respectively, provide for the 'power' and 'benefit' criteria necessary for establishing control under IPSAS 35, the key factors being:

- the Secretary-General's ability to appoint the President of WMU and the Director of IMLI, and also to appoint the respective governing boards;
- the alignment of the objectives of WMU and IMLI with the goals of IMO through the Charter and the Statute, respectively;
- the requirement for changes to the Charter and Statute to be approved by IMO organs; and
- in the event of the dissolution of IMLI, the funds and assets remaining shall be used as directed by IMO Council.

4 Consolidated statements have therefore been prepared and are shown alongside those of IMO for ease of reference.

5 The functional and reporting currency of IMO is GBP. Transactions in currencies other than GBP are converted into GBP at the prevailing United Nations Operational Rates of Exchange (UNORE) at the time of transaction. Monetary assets and liabilities held at the year-end in currencies other than GBP are converted into GBP at the prevailing UNORE year-end closing rate. The resulting gains or losses are accounted for in the Statement of Financial Performance.

Cash and Cash Equivalents

6 Cash and cash equivalents comprise cash in hand, cash in banks, and highly liquid short-term deposits with maturities of 12 months or less.

Investments

7 The Organization recognizes and measures its investments in accordance with IPSAS 41 – "Financial Instruments", which establishes principles for the recognition, measurement, presentation, and disclosure of financial instruments. Under this standard, the Organization classifies its investments as financial assets measured at fair value through surplus or deficit (FVSD).

Receivables

8 Receivables are financial assets with fixed or determinable payments that are not traded in an active market. Receivables classified as current assets are for amounts due within 12 months of the reporting date, while non-current receivables are those that are due more than 12 months from the reporting date of the financial statements. Receivables are stated at nominal value, less an allowance for expected credit losses (ECL) in accordance with IPSAS 41, based on historical collection experience and forward-looking factors.

9 Assessed contributions receivable is the amount of contributions as approved by the Assembly that are still outstanding. Donor contributions receivable are recognized when the donor agreement is signed but the payment from the donor has not been received at the reporting date.

10 A loss allowance is recognized when there is an expected credit loss and the receivables may be impaired. Changes in the loss allowance are recognized in the Statement of Financial Performance.

11 For donor contributions, commercial and other receivables, an allowance is provided on a case-by-case basis. Allowances are recognized based on historical collection experience and/or evidence indicating that the collection of a particular receivable is in doubt. For commercial and other receivables, an allowance equivalent to 100% of the receivable is provided when the receivable is deemed uncollectable and has been overdue for three or more years.

12 For Member States' assessed contributions, the value of unpaid balances is adjusted as follows:

- no allowance or discount is applied to Member States with sums outstanding for no more than the current or current and previous reporting period; and
- all sums that have been due for more than two reporting periods are held net of a 100% allowance, that is, at zero value in the Statement of Financial Position. The allowance includes current and all prior period outstanding balances. This does not reflect an adjustment for Expected Credit Loss under IPSAS 41 – "Financial Instruments" but rather an impairment in the value of the receivable due to the uncertainty of the timing of future cash flows.

Revenue

13 Assessed income on Member States is recognized on a calendar basis as revenue when it falls due, normally on 1 January of the financial year for which the assessment is made as per the assessments approved by the Assembly. Sums received in advance from Member States for the following reporting period are shown in note 2.9 as advance contributions and included within “Payables and Accruals” in the Statement of Financial Position.

14 Donor Contributions are recognized on a case-by-case basis following the provisions of IPSAS 23 –"Revenue from Non-Exchange Transactions".

15 In cases where donor contributions are made without a condition under IPSAS 23 – "Revenue from Non-Exchange Transactions", revenue and the associated financial asset are recognized when the agreement is signed or, in the absence of an agreement, on receipt of funds. Where there are no payment terms specified by the contributor or payment terms are in the current accounting year, revenue is recognized in the current period. Where payment terms specify payment after the year-end (31 December), the amount is reported as deferred revenue. Where the start date of the contract is after 31 December, revenue is recognized in the future accounting year.

16 Moreover, in some cases a donor agreement may contain sufficiently strict conditions over the application of funds to a specific activity that a liability is recognized along with the asset when the agreement is confirmed in writing and revenue is only recognized as the activity is delivered.

17 In-kind contributions of goods are valued at fair market value and are recognized as revenue and as assets when received. In-kind contributions of services are not recognized in the financial statements.

18 The Organization's commercial sales operations, conducted through the Trading Fund, subletting of conference facilities, and the fees charged to those submitting products and substances for technical assessment in order for the Organization to fully recover costs associated with conducting those assessments, are considered to be exchange transactions and are accounted for within the meaning of IPSAS 9 –"Revenue from Exchange Transactions".

19 Revenue from the sale of publications is recognized upon shipment to the customer.

20 Interest on fixed short-term deposits and other revenue are recognized when received or earned in accordance with IPSAS 9 – "Revenue from Exchange Transactions".

Inventories

21 Publications held for sale on hand at the end of the financial period are recorded as inventories and are valued at the lower of cost or net realizable value.

22 The cost of publications includes production and transportation, determined on a weighted average basis. Inventory quantities are validated by physical stock counts.

23 Publications are shown as a cost of sales at the time at which the sale is recognized, and the inventory is reviewed at the end of each financial year for impairment. A provision is made for inventory considered to be impaired due to damage, obsolescence, and slow-moving titles with excess stock on hand.

24 The Organization does not hold any specific item of inventory for the purpose of distributing free of charge. While a small number of copies of various publications are distributed 'free of charge' from time to time under specific conditions, these free copies constitute an insignificant percentage (typically less than 5%) of the total books distributed. Consequently, no provision is made in this regard.

Property, Plant and Equipment

25 Property, Plant and Equipment (PP&E) are stated at historical cost less accumulated depreciation and any impairment losses. in accordance with IPSAS 45 – "Property, Plant and Equipment". The Organization adopts the cost model for all classes of property, plant and equipment.

26 Items are capitalized if their cost is greater than or equal to the capitalization threshold of £3,500, which became effective on 1 January 2025. Assets are expected to provide future economic benefits or service potential to the Organization and have a useful life of more than one year.

27 The cost of an asset includes the purchase price and directly attributable costs of bringing the asset to its working condition for its intended use, such as delivery, installation, and site preparation costs. Assets are assumed to have no residual value at the end of their useful lives.

28 Assets requiring an extended installation period spanning multiple financial periods are classified as assets under construction until they are substantially complete and capable of operating in the manner intended by management. All directly attributable costs are accumulated in the assets under construction account. No depreciation is charged on assets under construction. Upon completion, assets are transferred to the appropriate asset category and depreciation commences.

29 Depreciation is provided for PP&E over their estimated useful life using the straight-line method. The estimated useful life for PP&E classes is as follows:

Class	Estimated useful life (years)
Communication and IT equipment	3 – 5
Vehicles	4 – 7
Furniture & fixtures	5
Conference equipment	7
Miscellaneous	5

30 The new threshold is not applied to library collections. Where a library collection is deemed to be in excess of 10% reference in nature, all purchases of reference material are capitalized and depreciated over three years on a straight-line basis. Where a library collection holds less than 10% reference books, all items will be expensed as purchased.

31 Impairment reviews are undertaken for all assets at least annually.

Intangible Assets

32 Purchased intangible assets are capitalized if their cost is greater than or equal to the threshold of £3,500, except for internally developed software where the threshold is £50,000 in view of the complexity in accurately assigning costs for development projects below this amount. The capitalized value of the internally developed software excludes those costs related to research and maintenance. Intangible assets are stated at historical cost less accumulated amortization and any impairment losses.

33 Publication titles are not considered to be intangible assets as they do not meet the provisions of IPSAS 31 – "Intangible Assets". Consequently, development costs for new titles are expensed as they are incurred.

34 Amortization is provided over the estimated useful life using the straight-line method. The estimated useful life for intangible asset classes is as follows:

Class	Estimated useful life (years)
Software acquired externally	3
Internally developed software	3 – 6

Heritage assets

35 Heritage assets are items with unique cultural, artistic, or historical significance. They typically have indefinite or long useful lives, are irreplaceable, and may have restrictions on their use or disposal.

36 The Organization receives gifts from Member States, including commemorative and decorative items. Only significant irreplaceable artwork are considered heritage items, while commemorative and decorative items do not meet the criteria and are not considered heritage assets. These gifts are not used or disposed of for economic benefit and do not contribute to the Organization’s operational objectives. Accordingly, in line with IPSAS 45, IMO voluntarily discloses gifts classified as heritage items in the notes to the financial statements.

Leases

37 The Organization accounts for leases in accordance with IPSAS 43 – “Leases”. Lease components with an initial value of £3,500 or more are capitalized as right-of-use assets with corresponding lease liabilities. This threshold aligns with the Organization's asset capitalization policy effective from 1 January 2025.

38 Lease components below £3,500 and short-term leases (12 months or less) are expensed as incurred using the practical expedients available under IPSAS 43.

39 Right-of-use assets are initially measured at cost, comprising the present value of the lease liability, prepayments, initial direct costs, and estimated restoration costs where applicable. Lease liabilities are measured at the present value of lease payments using the interest rate implicit in the lease, or if not readily determinable, the Organization's incremental borrowing rate based on UK government bond rates adjusted for lease term.

40 Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term or the asset's useful life. Lease liabilities are subsequently measured using the effective interest method, increased for interest expense and reduced by lease payments made.

41 The Organization adopted IPSAS 43 using the modified retrospective approach, with the cumulative effect recognized as an adjustment to opening accumulated surplus and without restating comparative information. On adoption, the Organization elected not to reassess whether existing contracts contain leases and applied IPSAS 43 only to arrangements previously identified as leases under IPSAS 13. For leases previously classified as finance leases under IPSAS 13, the existing carrying amounts of lease assets and liabilities were carried forward and reclassified as right-of-use assets and lease liabilities, without remeasurement.

Employee Benefits Liabilities

42 IMO recognizes the following categories of employee benefits:

- short-term employee benefits due to be settled within 12 months of the end of the accounting period in which employees render the related service;
- post-employment benefits;
- other long-term employee benefits; and
- termination benefits.

43 Actuarial gains and losses that may arise from experience adjustments and changes in actuarial assumptions are recognized in the period in which they occur as a separate item directly in net assets/equity. Past service costs from amendments to the benefits provided by the plans are recognized in surplus or deficit over the average remaining service lives of the related employees if they are not vested, and immediately when they arise if the benefits are already vested. None of the benefits of the Organization's defined benefits plans has been amended during the reporting period.

44 Short-term employee benefits include salaries and related benefits, settling-in benefits, education grants, and others such as home leave, paid annual leave, and sick leave.

45 Post-employment benefits are defined benefit plans consisting of the United Nations Joint Staff Pension Fund (UNJSPF), After-Service Health Insurance Plan (ASHI), and repatriation grant and related benefits.

46 Other long-term employee benefits include accrued unused annual leave and, where applicable, compensation payments in the case of death, injury, or illness attributable to the performance of duties.

47 Termination benefits include indemnities for dismissal before retirement or voluntary redundancy. Where, at the reporting date, there is a formal plan, without realistic possibility of withdrawal, to finish the employment of a staff member and at that date, the staff member has not yet separated from the Organization, an accrual is recognized in the financial statements.

Provisions and Contingent Liabilities

48 Provisions are made for future liabilities and charges where IMO has a present legal or constructive obligation as a result of past events, and it is probable that IMO will be required to settle the obligation.

49 The Organization's sales of publications are made mainly through distributors and resellers rather than directly to the end user. It is the Organization's established business practice to refund distributors for unsold copies held by them, which may become obsolete through the issuance of a new edition. A provision is established to reflect an approximation of the funds expected to be reimbursed to distributors for the copies sold to them during the financial year which may be returned during future financial years. This liability is estimated using a percentage based on the previous five years' sales and the level of returns. From 1 January 2021, any publications purchased no longer qualify for returns, with the exception of two copies of key publications required to be kept in stock under the terms of the distributor's agreement.

50 Other commitments, that do not meet the recognition criteria for liabilities, are disclosed in the notes to the financial statements as contingent liabilities when their existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events that are not wholly within the control of IMO.

Fund Accounting and Segment Reporting

51 The financial statements are prepared on a fund accounting basis, showing, at the end of the period, the consolidated position of all IMO funds. A fund is a self-balancing accounting entity established to account for the transactions of a specified purpose or objective. Fund balances represent the accumulated residual of revenue and expenses.

52 IMO classifies all projects, operations, and fund activities into four segments: i) Core Programme Management; ii) Trading and Business Activities; iii) Technical Cooperation and Extrabudgetary Activities; and iv) Education and Research. IMO reports on the transactions of each segment during the financial period, and the balances held at the end of the period.

53 Under Core Programme Management, the Organization provides services to support Member States' decision-making, including the development of treaties, regulations, and policies. These activities are funded by assessed contributions and transfers from surpluses from such contributions. The Organization's General Fund, Working Capital Fund, Headquarters Capital Fund, and Termination Benefit Fund are grouped under this segment.

54 As the Organization undertakes commercial business activities, in particular publishing and catering, through the Trading Fund, those activities are segmented under Trading and Business Activities. Funding comes from the sale of publications and catering.

55 Under Technical Cooperation and Extrabudgetary Activities, the Organization provides Member States with technical cooperation and extrabudgetary planning and implementation services. Such activities are primarily funded through the surplus of the Organization's commercial activities and contributions from donors or through a cost-recovery model such as the fees charged for assessments of products and substances. In this context, the Organization's Technical Cooperation Fund and all donor trust Funds are grouped under this segment.

56 Activities conducted by WMU and IMLI are categorized under the Education and Research segment. The funding is primarily derived from donations to, and fees charged by WMU and IMLI.

Budget Comparison

57 The Assembly approves the biennial budgets of the Organization which include the regular budget and the budgets of the Trading Fund, the Headquarters Capital Fund, the Termination Benefit Fund, and the Technical Cooperation Fund. These budgets may be subsequently amended by the Council or through the exercise of delegated authority. Statement V: Comparison of Budget and Actual Amounts compares the final budget to actual amounts calculated on the same basis as the corresponding budgetary amounts. As the bases used to prepare the budget and financial statements differ, Note 5 provides a reconciliation between the actual amounts presented in Statement V and the actual amounts presented in Statement IV: Cash Flow.

Standards Issued but Not Yet Effective

58 The International Public Sector Accounting Standards Board issued IPSAS 47 – Revenue and IPSAS 48 – Transfer Expenses, which are effective for annual reporting periods beginning on or after 1 January 2026. IPSAS 47 establishes new requirements for the recognition, measurement, presentation and disclosure of revenue arising from binding arrangements with performance obligations and replaces IPSAS 9 - “Revenue from Exchange Transactions” and IPSAS 23 - “Revenue from Non-Exchange Transactions“. IPSAS 48 establishes requirements for the recognition, measurement, presentation and disclosure of transfer expenses.

59 The Organization is currently evaluating the impact of adopting these standards on its financial statements.

NOTE 2: ASSETS AND LIABILITIES

Note 2.1: Cash and Cash Equivalents

	IMO		Consolidated	
	2025	2024	2025	2024
Cash and Cash Equivalents	GBP	GBP	GBP	GBP
Bank and Imprest Cash	40,988,417	21,717,720	57,048,882	37,201,471
Short-term deposits	80,658,569	91,194,901	83,546,798	93,184,910
Other cash and cash equivalents	2,111	2,102	6,866	3,665
TOTAL CASH AND CASH EQUIVALENTS	**121,649,097**	**112,914,723**	**140,602,546**	**130,390,046**

60 Cash and Cash Equivalents required for immediate disbursement are maintained in cash and 45 bank accounts, five in British pounds, 33 in US dollars, five in Euros, one in Philippine peso, and one in Bangladeshi Takas. Balances in the short-term deposit accounts are available at short notice.

61 IMO does not place long-term investments in bonds or shares, nor does it make use of money market facilities such as hedging. Excess funds are invested in short-term deposits, which are held to maturity for not more than 12 months with an approved list of counterparties.

62 IMO's Investment Policy, established in accordance with Article IX of the Financial Regulations, prioritizes capital retention over maximization of return on investment and establishes limits on the maximum amounts and time period for deposits with any counterparty, based on a range of factors designed to assess their financial stability, to diversify and manage investment risk. These factors include credit ratings, tier 1 capital ratios, and Credit Default Swap (CDS) rates, which collectively provide both a long-term and short-term view of the level of financial risk associated with each counterparty.

63 Effective implementation of the Investment Policy is the responsibility of the IMO Treasury Committee, comprising senior officers and an external treasury expert. The Committee meets regularly and considers the current cash position, cash flow projections, and surplus funds available to invest together with the proposed counterparties and their credit ratings.

64 The following table details IMO's short-term deposits maturing in 2026, broken down by currency and including accrued interest as of December 31, 2025:

IMO Treasury Deposit	Initial Amount	Accrued Interest	Total	Value in GBP
GBP Short-Term Deposits	55,677,968	451,410	56,129,378	56,129,378
USD Short-Term Deposits	32,507,250	595,629	33,102,879	24,529,191
TOTAL SHORT-TERM DEPOSITS				**80,658,569**

65 IMLI holds short-term deposits of €3,313,090 (2024: €2,400,000), which is equivalent to £2,888,229 as at 31 December 2025 (2024: £1,990,009).

66 There have been no impairments of short-term deposits held by either IMO or IMLI as at 31 December 2025.

Note 2.2: Contributions Receivable

	IMO		Consolidated	
	2025	2024	2025	2024
	GBP	GBP	GBP	GBP
Member States assessments	248,415	340,067	248,415	340,067
Donor Contributions	2,154,050	1,718,755	2,154,050	1,720,827
TOTAL CONTRIBUTIONS RECEIVABLE	**2,402,465**	**2,058,822**	**2,402,465**	**2,060,894**

67 Contributions receivable for Member States' assessments and donor contributions relate to non-exchange transactions.

68 Historical experience has shown that assessments due from Member States are highly likely to be settled in full at some point in the future, with no write-offs having been authorized in this regard since the inception of the Organization. However, because there is significant uncertainty surrounding the timing of future cash flows from such receivables, an adjustment is required to show these amounts at fair value. The movement of the fair value adjustment during 2025 decreased by £751,605 when compared to 2024.

69 The following table sets out the composition of Member States' receivables by year and the fair value adjustments and allowance for doubtful accounts as at 31 December 2025.

	IMO		Consolidated	
	2025	2024	2025	2024
Member States assessments due:	GBP	GBP	GBP	GBP
Contributions Receivable before allowance				
2025	339,176	-	339,176	-
2024	200,543	730,466	200,543	730,466
2023	72,586	397,323	72,586	397,323
2022 and earlier	737,279	1,065,052	737,279	1,065,052
Total Contribution Receivable	1,349,584	2,192,841	1,349,584	2,192,841
Fair value adjustments	(746,105)	(1,497,710)	(746,105)	(1,497,710)
Allowance for doubtful accounts	(355,064)	(355,064)	(355,064)	(355,064)
NET CONTRIBUTIONS RECEIVABLE	**248,415**	**340,067**	**248,415**	**340,067**

70 As at 31 December 2025, there were a total of 34 Member States with outstanding balances. Of these, 28 had current year and prior year balances only. The remaining six had arrears from 2023 and earlier. For the Member States in arrears and without an agreed payment plan, an approximation is made based on historical experience – for those Member States that had arrears extending only to the current year and prior year, no fair value adjustment is made, while for the remaining Member States with arrears for 2023 and earlier, it was assumed that there is sufficient uncertainty about the timing of future cash flows such that their present value after discounting would be approximately zero.

71 In addition to the balances due from these 34 Member States, the settlement of the former Socialist Federal Republic of Yugoslavia (SFRY) arrears of £355,064 continues to depend on the results of ongoing negotiations at the United Nations regarding succession issues. The Governments of the successor States of the former SFRY have requested the United Nations to write off all debts of the former SFRY relating to their contributions to the United Nations and its specialized agencies and programmes. The United Nations had taken the view that, in accordance with the general rules of international law regarding the succession of States in respect of State debts, the United Nations has the right to seek payment of all or part of the pre-dissolution arrears from the five successor States of the former Yugoslavia.

Despite requests for the debt to be written off, the United Nations has refused to do so. The precise amount owed by each of SFRY's five successor States has not yet been determined by the United Nations. Until this issue is settled by the United Nations, the Secretariat is not in a position to pursue the recovery of the outstanding amount, and the policy in this regard is consistent with prior years and the approach taken by the United Nations.

72 Contributions receivable from donors represents amounts due but not yet received based on signed agreements as at 31 December 2025. Contributions receivable from donors are shown net of contributions adjustments related to allowances for doubtful accounts based on the review of receivables. A review of amounts due at 31 December 2025 concluded that no such adjustments were required on outstanding balances.

73 In the case of both Member State assessments and donor contributions due, adjustments are made to better reflect the fair value of the receivables in the financial statements but constitute neither a formal write-off of the receivable nor a releasing of the third party from their obligation.

Note 2.3: Inventories

	IMO		Consolidated	
	2025 GBP	2024 GBP	2025 GBP	2024 GBP
IMO publications	515,507	734,483	515,507	734,483
Model courses	520	1,167	520	1,167
IMLI and WMU Inventories	-	-	84,661	70,421
TOTAL INVENTORIES	**516,027**	**735,650**	**600,688**	**806,071**

Inventories reconciliation – IMO	2025 GBP	2024 GBP
Opening inventories	735,650	566,730
Purchases	465,334	842,079
Total inventories available for sale	1,200,984	1,408,809
Cost of sales	(632,200)	(654,739)
Cost of free distributions	(715)	(2,006)
Inventory adjustment including allowance for impairment	(52,042)	(16,414)
TOTAL INVENTORIES	**516,027**	**735,650**

	Opening Balance 01.01.2025	Utilization	Increase / (Decrease)	Closing Balance 31.12.2025
	GBP		GBP	GBP
Allowance for impairment	19,323	(19,308)	56,585	56,600
TOTAL ALLOWANCE	**19,323**	**(19,308)**	**56,585**	**56,600**

74 A review of inventory was carried out at the end of the year to determine the provisions of £56,600, covering obsolescence, slow-moving, and excess stock holdings.

75 As at 31 December 2025, IMLI and WMU held inventory valued at £18,753 and £65,908 respectively (2024: £19,566 and £50,855).

Note 2.4: Advances to Sub-Contractors and Partners

76 Advances to sub-contractors and implementing partners are payments made under contract with regional bodies and similar organizations which, acting as implementing agents or partners, deliver technical cooperation programmes on the Organization's behalf. These advances are then offset against approved expenditure reports as the contract is delivered. In addition, any advances made to UNDP to provide regional or national services on the Organization's behalf, through the Service Clearing Account arrangement, are also considered to be advances to sub-contractors and Partners. The total outstanding advances at the end of the financial period were made to the following:

	IMO	
	2025	2024
Sub-Contractors and Partners	GBP	GBP
Expertise France SAS	871,763	-
Food and Agriculture Organization (FAO)	732,700	625,529
UNDP Service Clearing Account (SCA)	663,471	23,961
The University of Trinidad and Tobago (UTT) - MTCC Caribbean	255,981	-
International Labour Organization (ILO)	94,159	-
Maritime Technology Cooperation Centres (MTCC) ASIA - Shanghai Maritime University (SMU)	80,363	86,328
Secretariat of the Pacific Regional Environment Programme (SPREP)	58,288	-
Korea Institute of Maritime and Fisheries Technology (KIMFT)	56,832	-
United Nations Economic and Social Commission for Asia and the Pacific (UN-ESCAP)	55,575	-
Other	160,734	433,876
TOTAL ADVANCES TO SUB-CONTRACTORS AND PARTNERS	**3,029,866**	**1,169,694**

Note 2.5: Other Receivables and Prepayments

	IMO		Consolidated	
	2025	2024	2025	2024
	GBP	GBP	GBP	GBP
Advances to staff	848,456	720,686	958,430	821,103
Taxes and Insurance recoverable	2,576,206	1,345,242	2,636,919	1,499,875
Prepayments and other receivables	1,465,229	1,192,194	2,665,799	1,817,405
Fellowships	-	-	500,937	449,127
Publications and Cafeteria Receivable	477,599	272,475	477,599	272,475
TOTAL OTHER RECEIVABLES AND PREPAYMENTS	**5,367,490**	**3,530,597**	**7,239,684**	**4,859,985**

77 Advances to staff are for Education Grants, travel, and other staff entitlements made in accordance with the Staff Regulations and Staff Rules. Education Grant advances are paid annually to eligible staff and are amortized over the academic year for expenditure recognition purposes. Eligible staff are entitled to home leave once every two years for which the costs are spread over that two-year period.

A breakdown of the most significant advances to staff is shown below:

	IMO		Consolidated	
	2025	2024	2025	2024
Advances to staff	GBP	GBP	GBP	GBP
Education Grant advance	815,879	719,178	905,698	817,033
Home leave prepayment	-	-	6,581	1,020
Assignment Travel prepayment	285	-	285	-
Others	32,292	1,508	45,866	3,050
TOTAL ADVANCES TO STAFF	**848,456**	**720,686**	**958,430**	**821,103**

78 Taxes recoverable are Value Added Tax, Air Passenger Duty, Insurance Premium Tax and Climate Change Levy, which are recoverable from the government of the host country under the terms of the relevant host country agreement. An allowance was provided for congestion charge tax as the recovery of these amounts is uncertain. Insurance recoverable includes the costs for service incurred injuries where medical costs advanced to staff due to workplace injury, which are then recoverable from the insurance provider.

79 Prepayments and Other Receivables include advances to vendors for payments in advance of goods and service delivery and other miscellaneous receivables.

80 Fellowships, relating to the work of WMU and IMLI, are due at the start of the school term upon arrival and confirmation of the physical presence of the student.

81 Publications and Cafeteria Receivable includes receivables related to publications and cafeteria operations, which had previously been shown as Miscellaneous.

Note 2.6: Investments

82 As at 31 December 2025, IMO did not hold any investments. The consolidated total value of investments of £12,715,108 (2024: £12,565,460) represents £10,113,131 (2024: £9,626,384) held by WMU and £2,601,977 (2024: £2,939,076) held by IMLI.

83 At its thirty-first session in March 2021, the WMU Executive Board approved the selection of LGT Liechtenstein as the investment bank for WMU funds, noting that the bank had a strong record of environmental, social, and corporate governance (ESG) and corporate social responsibility which aligns well with WMU's mission, as well as a broad-based investment strategy. To date, $11,180,024 was invested with LGT Bank Ltd. The value of the funds invested had increased by $2,468,114 to $13,648,138 as at 31 December 2025.

Note 2.7: Property, Plant and Equipment

Asset category – IMO

GBP	Communication & IT equipment	Conference equipment	Vehicles	Furniture & fixtures	Right of Use	Miscellaneous	Total
Cost							
Opening Balance	2,760,989	3,052,297	123,291	595,703	540,834	293,360	7,366,474
Derecognition	(1,039,834)	(102,607)	-	(497,391)	-	(54,649)	(1,694,481)
Additions	223,233	324,797	-	-	7,867,610	93,844	8,509,484
Disposals	(195,385)	(13,523)	-	-	(89,019)	-	(297,927)
Closing Balance	**1,749,003**	**3,260,964**	**123,291**	**98,312**	**8,319,425**	**332,555**	**13,883,550**
Accumulated Depreciation							
Opening Balance	2,661,927	2,036,128	123,291	566,073	150,599	142,513	5,680,531
Derecognition	(1,039,834)	(102,607)	-	(497,391)	-	(54,649)	(1,694,481)
Depreciation	99,616	254,703	-	9,639	1,142,736	55,603	1,562,297
Disposals	(194,333)	(10,329)	-	-	(89,019)	-	(293,681)
Closing Balance	**1,527,376**	**2,177,895**	**123,291**	**78,321**	**1,204,316**	**143,467**	**5,254,666**
Net Book Value							
Opening Balance	99,062	1,343,029	-	29,630	390,235	150,847	2,012,803
Net Change	122,565	(259,960)	-	(9,639)	6,724,874	38,241	6,616,081
Assets Under Construction	-	576,889	-	-	-	-	576,889
CLOSING BALANCE	**221,627**	**1,659,958**	**-**	**19,991**	**7,115,109**	**189,088**	**9,205,773**

84 Property, plant and equipment are capitalized if their cost is greater than or equal to the new capitalization threshold of £3,500, which became effective on 1 January 2025. Assets that are no longer expected to have future economic benefits or service potential were derecognized from the financial statements as at 1 January 2025, in accordance with IPSAS 45.

85 Following the implementation of IPSAS 43 - Leases on 1 January 2025, the Organization recognizes a right-of-use asset and corresponding lease liability for the Headquarters building in London, which is leased from the host government. Prior to 2025, this lease was treated as an operating lease under IPSAS 13 and was not recognized on the Statement of Financial Position. As comparative figures were not re-stated as provided for under the transitional provisions of IPSAS 43, the figure amounting to £7,867,610 is shown under ‘Additions’, with a corresponding increase in depreciation of £1,015,158.

86 Assets are reviewed annually for impairment. During 2025, 57 obsolete or no longer in use items of property, plant and equipment were disposed of or de-recognized. IMO incurred a loss of £4,246 at the time of disposal.

87 Assets under construction reflected work underway to improve the Organization’s facilities at its Headquarters building. Upon project completion, when the assets are substantially complete and capable of operating in the manner intended by management, they are transferred to the appropriate asset category. Under the Organization's assets policy effective from 1 January 2025, spare parts meeting the £3,500 threshold are capitalized and classified under Conference equipment. Depreciation of spare parts commences from the date they become available for use.

Asset category – Consolidated

GBP	Communication & IT equipment	Conference equipment	Vehicles	Furniture & fixtures	Right of Use	Miscellaneous	Total
Cost							
Opening Balance	3,935,168	3,052,297	274,386	1,037,285	540,834	540,871	9,380,841
Derecognition	(1,251,504)	(102,607)	-	(547,151)	-	(229,696)	(2,130,958)
Additions	341,045	324,797	-	15,715	7,867,610	102,860	8,652,027
Disposals	(199,217)	(13,523)	-	-	(89,019)	-	(301,759)
Transfer	(7,106)	-	-	-	-	-	(7,106)
Exchange Rate Movement Differences	127,933	-	11,996	43,378	-	13,007	196,314
Closing Balance	**2,946,319**	**3,260,964**	**286,382**	**549,227**	**8,319,425**	**427,042**	**15,789,359**
Accumulated Depreciation							
Opening Balance	3,598,293	2,036,128	262,627	917,630	150,599	374,619	7,339,896
Derecognition	(1,251,504)	(102,607)	-	(547,151)	-	(229,696)	(2,130,958)
Depreciation	266,496	254,703	12,121	51,987	1,142,736	63,679	1,791,722
Disposals	(197,247)	(10,329)	-	-	(89,019)	-	(296,595)
Transfer	(7,106)	-	-	-	-	-	(7,106)
Exchange Rate Movement Differences	103,576	-	11,634	37,046	-	12,194	164,450
Closing Balance	**2,512,508**	**2,177,895**	**286,382**	**459,512**	**1,204,316**	**220,796**	**6,861,409**
Net Book Value							
Opening Balance	336,875	1,343,029	11,759	119,655	390,235	166,252	2,367,805
Net Change	96,936	(259,960)	(11,759)	(29,940)	6,724,874	39,994	6,560,145
Assets Under Construction	-	576,889	-	-	-	-	576,889
CLOSING BALANCE	**433,811**	**1,659,958**	**-**	**89,715**	**7,115,109**	**206,246**	**9,504,839**

88 The net value reported under "Miscellaneous" as at 31 December 2025 includes the reference library of £2,002 (2024: £5,257) held by IMLI, with additional reference texts being capitalized and depreciated over three years.

89 This note includes the effect of the revaluation of the property, plant and equipment held by WMU and IMLI with a net impact of £31,864 (2024: £32,720) resulting from the change in the value of the Swedish Krona and Euro respectively from 1 January to 31 December 2025. Opening balances are presented at the exchange rate applicable on 1 January 2025 and closing balances at the rate applicable on 31 December 2025, while depreciation, additions, and disposals for the year are shown at the average rate of exchange, consistent with Statement I and Statement II, respectively.

90 The City of Malmö provides leasing free of rent and maintenance for the WMU teaching and administration building. In-kind contributions of services are not recognized in WMU's financial statements. The buildings used by IMLI are not included as the Institute has the bare use of the premises. The University of Malta and the Government of Malta have made the building available for use by the Institute for 15 years under the terms of an agreement dated 26 May 1988. The Government of Malta has since extended the period for a further 25 years and during the current reporting period it donated €150,000 (£128,234) for repairs and refurbishments.

91 During the reporting period, IMO held 116 heritage items, primarily consisting of significant artwork and sculptures donated by Member States. No heritage items were disposed of during this period.

Note 2.8: Intangible Assets

GBP	Externally purchased software IMO	Externally purchased software Consolidated
Cost		
Opening Balance	2,977,265	3,142,222
Derecognition	(78,840)	(81,766)
Disposals	(2,189,109)	(2,189,109)
Transfers	-	7,106
Exchange Rate Movement Differences	-	19,288
Closing Balance	**709,316**	**897,741**
Accumulated Amortization		
Opening Balance	2,874,360	3,039,317
Derecognition	(78,840)	(81,766)
Amortization charge for the year	27,175	27,175
Disposals	(2,189,109)	(2,189,109)
Transfers	-	7,106
Exchange Rate Movement Differences	-	19,288
Closing Balance	**633,586**	**822,011**
Net Book Value		
Opening Balance	102,905	102,905
Net Change	(27,175)	(27,175)
CLOSING BALANCE	**75,730**	**75,730**

92 During 2025, IMO disposed 49 obsolete items of intangible assets with zero net value, primarily reflecting obsolete software no longer in use.

93 Opening balances are presented at the exchange rate applicable on 1 January 2025 and closing balances at the rate applicable on 31 December 2025, while amortization charges and additions for the year are shown at the average rate of exchange, consistent with Statement I and Statement II, respectively. There was no revaluation resulting from the changes in the Swedish krona or euro between 1 January to 31 December 2025 that affected intangible assets in 2025 (2024: £0).

Note 2.9: Payables and Accruals

	IMO		Consolidated	
	2025 GBP	2024 GBP	2025 GBP	2024 GBP
Accruals	3,198,742	3,225,596	3,514,970	3,637,880
Advances from customers	150,817	193,566	169,543	210,288
Fellowships	-	-	4,677,525	3,657,424
Deferred revenue	4,513,860	3,166,898	6,314,251	4,806,211
Condition on donor contributions	7,135,569	2,642,140	7,135,569	2,642,140
Advance contributions	4,113,036	3,057,424	4,113,036	3,057,424
Contributions Incentive Scheme	923,587	466,210	923,587	466,210
Refundable to donors	-	48,937	33,127	48,937
Other	-	-	8,577	14,830
TOTAL PAYABLES AND ACCRUALS	**20,035,611**	**12,800,771**	**26,890,185**	**18,541,344**

94 Accruals represent amounts due to vendors and staff for goods or services received or expenses incurred but not yet paid. For those items, which have not yet been invoiced and for which the cost is not yet certain, the accrued amount is based on the best estimate, most notably the provision of utilities and services delivered through the UNDP Service Clearing Account (SCA), sub-contractors, and implementing partners.

95 Advances from customers reflect payments received prior to the delivery of goods and services.

96 Fellowships and donations received and accrued for the academic year 2025/2026 relating to WMU and IMLI are apportioned over the academic year. The amounts received or accrued in respect of that part of the academic year falling in 2026 are disclosed as advance receipts.

97 Deferred revenue relates to amounts received in the year for which the services have not been provided at the reporting date.

98 The Organization recognizes as a liability conditions attached to certain voluntary contributions. Conditions may be imposed by donors on the use of contributions and include both a performance obligation to use the donation in a specified manner and an enforceable return obligation to return the donation if it is not used in the specified manner. The amount recognized as a liability is the best estimate of the amount that would be required to settle the obligation at the reporting date. As IMO satisfies the conditions on voluntary contributions through performance in the specified manner, the carrying amount of the liability is reduced and an amount of revenue equal to that reduction is recognized. The breakdown of the total value of the condition on donor contributions, as at 31 December 2025 is shown below:

	IMO		Consolidated	
Condition on donor contributions	2025 GBP	2024 GBP	2025 GBP	2024 GBP
European Commission	7,088,137	2,642,140	7,088,137	2,642,140
United Kingdom - WMU Fellowship	47,432	-	47,432	-
TOTAL	**7,135,569**	**2,642,140**	**7,135,569**	**2,642,140**

99 Advance contributions reflect balances received from Member States during 2025 towards the 2026 assessed contributions and beyond.

100 Under the Contributions Incentive Scheme (CIS), a part of the interest earned on the General Fund is returned to the Member States, and the allocation is based on a points system reflecting the timing and amount of the receipt of their current year assessments.

101 Refundable to donors represents the balance of unspent contributions for projects pending refund.

Note 2.10: Provisions for Warranties

	IMO		Consolidated	
	2025 GBP	2024 GBP	2025 GBP	2024 GBP
Publication sales warranties	13,754	25,727	13,754	25,727
TOTAL PROVISIONS FOR WARRANTIES	**13,754**	**25,727**	**13,754**	**25,727**

	Opening Balance GBP	Utilization GBP	Increase / (Decrease) GBP	Closing Balance GBP
IMO Publications	25,640	(3,050)	(8,897)	13,693
Model Courses	87	(532)	506	61
TOTAL ALLOWANCE	**25,727**	**(3,582)**	**(8,391)**	**13,754**

102 A warranty provision has been established to reflect possible returns of publications sold to distributors, which is estimated using a percentage based on the previous five years' sales and experience of return levels. The Organization's practice changed in 2021, and credits are no longer provided on sales of new titles. The warranty provision represents historical obligations under this scheme and will reduce over time.

Note 2.11: Employee Benefits

	IMO		Consolidated	
	2025 GBP	2024 GBP	2025 GBP	2024 GBP
Employee Benefits - Current				
Short-term employee benefits	146,556	148,048	171,456	166,696
Termination benefits	110,000	33,557	110,000	33,557
Total Current Employee Benefits	**256,556**	**181,605**	**281,456**	**200,253**
Employee Benefits – Non-Current				
After-service health insurance	32,328,485	33,166,875	32,328,485	33,166,875
Repatriation	3,023,169	3,975,300	4,631,770	5,341,984
Accrued Annual Leave	2,345,605	2,455,554	3,337,178	3,300,332
Total Non-Current Employee Benefits	**37,697,259**	**39,597,729**	**40,297,433**	**41,809,191**
TOTAL EMPLOYEE BENEFITS LIABILITIES	**37,953,815**	**39,779,334**	**40,578,889**	**42,009,444**

2.11.1: Valuation of Employee Benefits Liabilities

103 Current employee benefits are calculated by IMO based on personnel data and past payment experience. Non-Current employee benefits liabilities are determined by professional actuaries. As at 31 December 2025, total employee benefits liabilities amounted to £37,953,815 (2024: £39,779,334). As described in note 2.11.6, non-current employee benefits are subject to actuarial valuation, with the most recent valuation taking place at 31 December 2025. The decrease in non-current employee benefits liabilities is mainly driven by the actuarial projections based on the assumptions made by the actuary when conducting this exercise as at 31 December 2025 rather than in any underlying changes in the scheme or its costs.

104 In determining its post-employment liabilities, WMU eligible staff members on separation are entitled to the payment of repatriation allowance, repatriation travel and shipment of household goods, and unused annual leave up to a maximum of 60 days. In determining the liability for such costs as at the reporting date, the University uses the following basis: home leave – the cost of a return trip to the home country for the staff member and eligible dependants spread over two years; accrued annual leave - based on the balance of unused annual leave days and the current monthly salary rate plus post adjustment; repatriation allowance – number of years in service and current monthly salary rate; and repatriation travel - prevailing market prices from the duty station to the home country to which the staff member and eligible dependents; and repatriation shipment cost – based on the lump sum amount for staff with spouse and single status, if any are entitled to return.

2.11.2: Employee Benefits – Current

105 Current employee benefits comprise mainly wages and payroll-related allowances, first-time employee benefits, education grant-related benefits, home leave, and current terminations benefits.

106 Current employee benefits are expected to be settled within 12 months after the end of the period in which the employees render the related service and are measured at their nominal values based on past payment experience.

107 For IMO, there was an increase of £74,951 from £181,605 to £256,556 in current employee benefit liabilities which is mainly attributable to an increase in termination benefit liabilities.

2.11.3: Employee Benefits – Non-Current

108 After Service Health Insurance (ASHI) is a plan that allows eligible retirees and their eligible family members to continue to participate in the Cigna Medical Scheme for 50% of the cost of the contribution of active staff members for the defined type of coverage. The Organization funds the remaining amount of the premium to be paid to the third-party insurer. Membership of Cigna is compulsory for all new employees, although participation in the ASHI scheme after retirement is voluntary and requires retiring employees to have a minimum of ten years of service at IMO or other UN system organizations. Cigna is the main third-party insurance provider for ASHI benefits; however, there are still a small number of retirees covered by the former insurer, BUPA (British United Provident Association).

109 Repatriation benefits consist of a repatriation grant lump sum, travel of the staff member and eligible dependants, and shipment of their personal effects. The repatriation benefit relating to the shipment of personal effects may be taken as a lump sum payment. The Organization pays the amounts due for repatriation grants, travel, and relocation expenses for entitled staff members.

110 The liabilities include service and interest costs for 2025, less benefit payments made and, where applicable, plan participants' contributions.

111 Arrangements relating to the United Nations Joint Staff Pension Fund (UNJSPF) are set out in Note 2.11.7.

2.11.4: Other Long-Term Employee Benefits

112 Although annual leave is a short-term employee benefit, the right to receive payment for unused annual leave and, consequently, the Organization's liability for this balance, is shown as a long-term employee benefit as that right only crystallizes on separation, typically more than 12 months from the reporting date.

2.11.5: Termination Employee Benefits

113 Termination Employee Benefits represent a liability to staff members who separated prior to 31 December 2025 and are entitled to a termination indemnity payment in accordance with IMO's established Staff Regulations and Staff Rules.

2.11.6: Actuarial Valuations of Post-Employment and Other Separation Related Benefits

114 Liabilities arising from post-employment benefits and other long-term employee benefits (i.e., accrued unused annual leave) are determined by consulting actuaries using the Projected Unit Credit Method. These employee benefits are established for those staff members who are entitled to such benefits under the IMO Staff Regulations and Staff Rules. Actuarial valuations are typically undertaken every two years, and the most recent valuation was conducted as at 31 December 2025.

2.11.6.1: Actuarial Assumptions and Methods

115 IMO and the actuary review and select assumptions that will be used by the actuaries to estimate the post-employment and accrued unused annual leave employee liabilities for IMO, as at 31 December 2025, based on the expenditure projections for the reporting period.

	31 December 2025	31 December 2023
General assumptions		
Discount rate	5.7% p.a.	4.8% p.a.
General inflation for salary increases	2.5% p.a.	2.6% p.a.
Mortality	95% of S3PA tables	95% of S3PA tables
Mortality improvements	CMI_2024 core model projections with a long-term improvement rate of 1.25% pa, an initial addition parameter of 0% and half life of 1	CMI_2022 core model projections with a long-term improvement rate of 1.25% pa, an initial addition parameter of 0%, a 0% 2020 and 2021 data weighting and a 25% 2022 data weighting
Withdrawal rates	3.25% pa fixed for all ages	
Retirement rates	All members retire at their Normal Retirement Age	
Assumptions used to value ASHI benefits		
Participation after retirement	95% of eligible members are assumed to continue coverage after retirement. It is assumed that coverage will not be dropped once elected.	
Spouses	For current employees it is assumed that 60% will elect for coverage for their spouse at retirement. Males are assumed to be three years older than their spouse.	
Medical inflation - healthcare trend increases	5.00% p.a. fixed	4.75% p.a. fixed
Medical inflation - Ageing increases	3.5% p.a. for those under 65, 2.5% p.a. for those between 65 and 70 reducing in five-year age bands to nil for those over age 90.	
Assumptions used to value repatriation benefits		
Participation	All eligible employees will receive the benefit on separation from service subject to completing five years' service.	
Age-related salary scale	General inflation plus an age-related scale of 6.1% pa at age 20 reducing on a straight-line basis to 1.0% at age 60 for professional staff, and from 3.9% at 20 to 1.0% at age 65 for general staff.	
Increases in repatriation travel costs	In line with general inflation.	
Assumptions used to value annual leave plan		
Participation	All eligible employees will receive the benefit on separation from service.	
Age-related salary scale	As for repatriation benefit.	
Increases in annual leave balance	Based on completed service – 10.9% pa in years 1 to 3, 1.0% p.a. for years 4 to 8 of service and 0.5% pa thereafter.	

2.11.6.2: Reconciliation of Defined Benefit Obligation

IMO	After-Service Health Insurance Plan	Repatriation Benefit Plan	Accrued Annual Leave Plan	Total
	GBP	GBP	GBP	GBP
Defined Benefit Obligation as at 01.01.2025	33,166,875	3,975,300	2,455,554	39,597,729
Service cost	1,400,300	134,669	37,401	1,572,370
Interest cost	1,567,367	184,293	110,596	1,862,256
Actual benefit payments	(1,026,786)	(271,733)	(302,945)	(1,601,464)
Actuarial (gain) / loss	(2,779,271)	(999,360)	44,999	(3,733,632)
DEFINED BENEFIT OBLIGATION AS AT 31.12.2025	**32,328,485**	**3,023,169**	**2,345,605**	**37,697,259**

116 Service costs and interest costs are included as part of "Staff and Other Personnel Costs" in the Statement of Financial Performance.

117 The service and interest costs are based on the actuarial valuation that was carried out for the 2025 reporting year.

2.11.6.3: Summary of Prior Year Amounts

118 The breakdown of the cumulative amounts of the net actuarial (gains)/losses up to 2025 is presented below:

IMO	After-Service Health Insurance Plan	Repatriation Benefit Plan	Accrued Annual Leave Plan	Total
	GBP	GBP	GBP	GBP
Accumulated actuarial (gain)/loss as at 01.01.2025	(9,726,631)	405,402	2,410,599	(6,910,630)
Actuarial (gain) in 2025	(2,779,271)	(999,360)	44,999	(3,733,632)
ACCUMULATED ACTUARIAL (GAIN) / LOSS AS AT 31.12.2025	**(12,505,902)**	**(593,958)**	**2,455,598**	**(10,644,262)**

IMO	31.12.2025 GBP	31.12.2024 GBP	31.12.2023 GBP	31.12.2022 GBP	31.12.2021 GBP
ASHI					
Present Value of Defined Benefit Obligation	32,328,485	33,166,875	31,481,256	44,603,198	42,559,760
Experience (gain)/loss on Scheme Liabilities	983,584	-	4,418,492	-	(6,378,282)
(Gain)/Loss on changes in assumptions used to value Scheme liabilities	(3,762,855)	-	(20,025,887)	-	3,056,369
Repatriation					
Present Value of Defined Benefit Obligation	3,023,169	3,975,300	3,970,727	4,454,975	4,612,147
Experience (gain)/loss on Scheme Liabilities	(788,923)	-	456,054	-	(405,547)
(Gain)/Loss on changes in assumptions used to value Scheme liabilities	(210,437)	-	(1,031,814)	-	262,716
Annual Leave					
Present Value of Defined Benefit Obligation	2,345,605	2,455,554	2,492,947	3,434,769	3,485,790
Experience loss on Scheme Liabilities	246,877	-	147,765	-	864,843
(Gain)/Loss on changes in assumptions used to value Scheme liabilities	(201,878)	-	(814,840)	-	288,706
Total (ASHI, REP, AL)					
Present Value of Defined Benefit Obligation	**37,697,259**	**39,597,729**	**37,944,930**	**52,492,942**	**50,657,697**
Experience (gain)/loss on Scheme Liabilities	**441,538**	**-**	**5,022,311**	**-**	**(5,918,986)**
(Gain)/loss on changes in assumptions used to value Scheme liabilities	**(4,175,170)**	**-**	**(21,872,541)**	**-**	**3,607,791**

2.11.6.4: Expected Costs during 2026

119 The expected contribution of IMO in 2026 to the Termination Benefit Fund is £1,420,000 (2025 planned: £1,330,000).

2.11.7: United Nations Joint Staff Pension Fund

120 IMO is a member organization participating in the United Nations Joint Staff Pension Fund (the “Fund”), which was established by the United Nations General Assembly to provide retirement, death, disability and related benefits to employees. The Fund is a funded, multi-employer defined benefit plan. As specified in Article 3(b) of the Regulations of the Fund, membership in the Fund shall be open to the specialized agencies and to any other international, intergovernmental organization which participates in the common system of salaries, allowances and other conditions of service of the United Nations and the specialized agencies.

121 The Fund collectively exposes participating organizations to actuarial risks associated with the current and former employees of other organizations participating in the Fund, with the result that there is no consistent and reliable basis for allocating the obligation, plan assets and costs to individual organizations participating in the Fund. The Organization and the Fund, in line with the other participating organizations in the Fund, are not in a position to identify the Organization's proportionate share of the defined benefit obligation, the plan assets and the costs associated with the plan with sufficient reliability for accounting purposes. Hence, the Organization has treated this plan as if it were a defined contribution plan in line with the requirements of IPSAS 39, Employee Benefits. The Organization's contributions to the Fund during the financial period are recognized as expenses in the Statement of Financial Performance.

122 The Fund's Regulations state that the Pension Board shall have an actuarial valuation made of the Fund at least once every three years by the Fund's Consulting Actuary. The practice of the Pension Board has usually been to carry out an actuarial valuation every two years. The primary purpose of the actuarial valuation is to determine whether the current and estimated future assets of the Fund will be sufficient to meet its liabilities into perpetuity. The Fund's published funding policy (available on the Fund's website) sets out the methods, processes and targets that are used to monitor the funding position and associated risks. This also includes the practice of utilizing an actuarial value of assets, which smooths short-term investment gains and losses for the purpose of reporting long-term solvency.

123 The Organization's financial obligation to the Fund consists of its mandated contribution, at the rate established by the United Nations General Assembly (currently at 7.9% of pensionable remuneration for participants and 15.8% for member organizations) together with any share of any actuarial deficiency payments under Article 26 of the Regulations of the Pension Fund. Such deficiency payments are only payable if and when the United Nations General Assembly has invoked the provision of Article 26, following determination that there is a requirement for deficiency payments based on an assessment of the actuarial sufficiency of the Fund as of the valuation date. Each member organization shall contribute to this deficiency an amount proportionate to the total contributions which each paid during the three years preceding the valuation date. It has never been necessary to invoke Article 26, and no deficiency payments have ever been requested.

124 The latest actuarial valuation for the Fund was completed as at 31 December 2023, and the valuation as of 31 December 2025 is currently being performed. A roll forward of the participation data as of 31 December 2023 to 31 December 2024 was used by the Fund for its 2024 financial statements.

125 The actuarial valuation as at 31 December 2023 reported a funded ratio of actuarial assets to actuarial liabilities of 111.0% (117.0% in the 2021 valuation) when future expected pension adjustments (cost-of-living indexation on benefits) were taken into account. The reported funded ratio was 152.0% (158.2 % in the 2021 valuation) when the current system of pension adjustments was not taken into account and would be the measure by which actuarial sufficiency is established under Article 26.

126 After assessing the actuarial sufficiency of the Fund, the Consulting Actuary concluded that there was no requirement, as at 31 December 2023, for deficiency payments under Article 26 of the Regulations of the Fund as the actuarial value of assets exceeded the actuarial value of all accrued liabilities under the plan. At the time of this report, the General Assembly has not invoked the provision of Article 26.

127 Should Article 26 be invoked due to an actuarial deficiency, either during the ongoing operation or due to the termination of the Fund, deficiency payments required from each member organization would be based upon the proportion of that member organization's contributions to the total contributions paid to the Fund during the three years preceding the valuation date. Total contributions paid to the Fund during the preceding three years (2022, 2023 and 2024) amounted to USD 10,191.93 million, of which 0.36% was contributed by the Organization.

128 During 2025, contributions paid to the Fund by the Organization amounted to USD 13,418,147 (2024: USD 12,221,404). Expected contributions due in 2026 are approximately USD 14,615,000.

129 Membership of the Fund may be terminated by decision of the United Nations General Assembly, upon the affirmative recommendation of the Pension Board. A proportionate share of the total assets of the Fund at the date of termination shall be paid to the former member organization for the exclusive benefit of its staff who were participants in the Fund at that date, pursuant to an arrangement mutually agreed between the organization and the Fund. The amount is determined by the United Nations Joint Staff Pension Board based on an actuarial valuation of the assets and liabilities of the Fund on the date of termination; no part of the assets which are in excess of the liabilities are included in the amount.

130 The United Nations Board of Auditors carries out an annual audit of the Fund and reports to the Pension Board and to the United Nations General Assembly on the audit every year. The Fund provides weekly information on its investments and it can be viewed by visiting the Fund at www.unjspf.org.

Note 2.12: Leases

2.12.1: Right-of-Use Asset Leases

131 The Organization holds right-of-use assets arising from lease arrangements for its headquarters building, laptop computers, and high-volume photocopiers. The headquarters building lease, which represents the Organization's most significant lease commitment, is with the United Kingdom government and expires on 28 October 2032. The lease does not contain a break clause, renewal options, or purchase options. The IT equipment leases provide laptop computers and multifunction photocopiers for operational use. These right-of-use assets are presented separately from owned property, plant and equipment in Note 2.7, with carrying amounts disclosed by asset class. The present values of future payments due under these lease agreements are detailed below.

	IMO		Consolidated	
	2025	2024	2025	2024
	GBP	GBP	GBP	GBP
Current	1,021,265	123,992	1,021,265	123,992
Non-Current	6,052,896	267,247	6,052,896	267,247
TOTAL FINANCE LEASE LIABILITIES	**7,074,161**	**391,239**	**7,074,161**	**391,239**

132 The table below provides an analysis of the difference between the minimum lease payments due and the corresponding present value.

	IMO			Consolidated		
	Minimum payments due	Finance charges	Present value of minimum payments	Minimum payments due	Finance charges	Present value of minimum payments
	GBP	GBP	GBP	GBP	GBP	GBP
Less than one year	1,328,893	307,628	1,021,265	1,328,893	307,628	1,021,265
One to five years	6,905,889	852,993	6,052,896	6,905,889	852,993	6,052,896
TOTAL FINANCE LEASE LIABILITIES	**8,234,782**	**1,160,621**	**7,074,161**	**8,234,782**	**1,160,621**	**7,074,161**

133 The main building lease arrangements include several key provisions. The Organization is not entitled to make alterations or additions affecting the structure or the main services of the premises without the written approval of the Landlord, the United Kingdom government. When under-letting the building, the Organization must first offer to underlet to the landlord. Additionally, when letting out conference facilities for commercial purposes, the Organization is required to "consider as a priority any request given with adequate prior notice by the Landlord". The lease agreement also requires the sharing of all income from 'Net Rental' and all costs of "Major Repairs" on an 80:20 basis between the Government of the United Kingdom and the Organization.

134 The lease costs are recognised over the lease term through the depreciation of the right-of-use asset and the interest expense on the lease liability

Note 2.13: Fund Balances and Reserves

IMO	Opening Balance 01.01.2025	Operating Surplus / (Deficit) for the Period	Other Movements	Closing Balance 31.12.2025
	GBP	GBP	GBP	GBP
General Fund	17,756,970	1,796,871	-	19,553,841
Working Capital Fund	2,857,746	-	-	2,857,746
Trading Fund	6,576,255	1,854,472	-	8,430,727
Termination Benefit Fund	(21,564,352)	(613,147)	3,733,632	(18,443,867)
Headquarters Capital Fund	5,868,316	72,883	-	5,941,199
Technical Cooperation Fund	20,482,389	2,098,837	-	22,581,226
Bilateral Operations and Multi-Donor Trust Funds[1]:			-	
Government of the Republic of Korea	8,465,694	1,844,417	-	10,310,111
Government of Norway	9,341,714	(1,266,911)	-	8,074,803
Delivering Strategy and Reform – Voyage Together Trust Fund	4,142,574	(1,470,721)	-	2,671,853
International Maritime Security Trust (IMST) Fund	2,133,079	205,728	-	2,338,807
Member States Professionals under the Senior Professional Officer and Junior Professional Officer schemes	1,861,196	(42,136)	-	1,819,060
Government of China	1,200,345	102,990	-	1,303,335
Model Courses Development Trust Fund	1,287,321	(68,111)	-	1,219,210
Government of Germany	327,951	496,016	-	823,967
Food and Agriculture Organization (FAO)	18,808	783,971	-	802,779
GESAMP Trust Fund	872,474	(95,986)	-	776,488
GHG TC Trust Fund	520,817	220,328	-	741,145
Kingdom of Saudi Arabia	358,342	371,518	-	729,860
United Nations Office on Drugs and Crime	2,760,026	(2,098,079)	-	661,947
United Nations Development Programme (UNDP)	(180,703)	815,600	-	634,897
IMO West and central Africa Maritime Security Trust Fund	453,094	176,511	-	629,605
Research and Development Trust Fund	597,170	(24,332)	-	572,838
Other Bilateral Operations and Multi-Donor Trust Funds[2]	3,390,897	(1,253,367)	-	2,137,530
TOTAL	**69,528,123**	**3,907,352**	**3,733,632**	**77,169,107**

Consolidated	Opening Balance 01.01.2025 (restated)	Operating Surplus (Deficit) for the Period	Actuarial Gain and Other Movements	Closing Balance 31.12.2025
	GBP	GBP	GBP	GBP
TOTAL	93,355,106	2,038,601	6,220,230	101,613,937

[1] All funds and bilateral agreements with closing balances in excess of £500,000 are disclosed separately, with other funds being aggregated under 'Other Bilateral Operations and Multi-Donor Trust Funds'

[2] Governments of Australia, Belgium, Canada, Egypt, Finland, France, Italy, Japan, Malaysia, Netherlands, Oman, United Arab Emirates, United Kingdom , European Commission, International Transport Workers Federation, Union of Greek Ship-owners, United Nations Environment Programme (UNEP), World Meteorological Organization (WMO), Djibouti Code of Conduct Trust Fund, Facilitate the participation of developing countries, especially SIDS and LDCs to attend meetings of the MEPC and ISWG-GHG, Global Industry Alliances Fund to support (Marine Biosafety and Low Carbon Shipping), Goal-Based Ship Construction Standards (GBS) Trust Fund, IMO Malacca and Singapore Straits Trust Fund, IMO/REMPEC Trust Fund, International Search & Research Fund (SAR), London Convention-Protocol TC Trust Fund, Marine Pollution Response Fund, Revision of the STCW Convention, and Tsunami Relief Fund.

135 The Organization maintains separate accounts for each Fund, which are combined into seven groups for reporting purposes as set out above.

136 The General Fund was established to account for the expenditure of the Organization. A Special Contingency Account was established within the General Fund by Assembly resolution A.1063(28), with initial funding set at £2 million, secured from the expenditure savings generated in the regular budget in the 2012-2013 biennium. The Special Contingency Account was established to offset or reduce any forecast overrun in budgetary expenditure arising as a result of changes in salaries determined by the International Civil Service Commission (ICSC). Its purpose was amended by the IMO Assembly at its thirty-third session to broaden its scope to act as general financial contingency account. It has not been used since its inception, and any use must be reported to the IMO Council at its next session.

137 The Working Capital Fund was originally established as a US dollar-based Fund by Assembly resolution A.19(I) and was converted to sterling with effect from 1 January 1988 by Assembly resolution A.633(15)B. The purpose of the Fund is to make advances, if necessary, to finance the budgetary appropriations of the Regular Budget to cover temporary cash flow deficits. Assembly resolution A.1039(27) further authorized the Secretary-General to use the fund as a reserve to account for currency gains or losses in the regular budget arising from differences between the United Nations operational rate of exchange and the rate against the pound sterling adopted for calculation of the appropriation. The same Assembly resolution also approved that the Working Capital Fund would act as a general contingency account. At its thirty-third session in 2023, the IMO Assembly approved the increase in funding level of the Working Capital Account to £3 million through transfer of reserves from the General Fund, and also discontinued its use as a general contingency account, that function being transferred to fall under the scope of the Special Contingency Account.

138 The Trading Fund replaced the Printing Fund through Assembly resolution A.1014(26), broadening its terms of reference to encompass the Organization's current commercial activities.

139 The Termination Benefit Fund was established with effect from 1 January 1996 by Assembly resolution A.837(19) at an initial level of £900,000 to meet the costs associated with termination benefits to staff of the Organization. The fund covers the termination benefits, repatriation costs (including grants, shipment, and travel), and financing and accounting of the liabilities related to the costs of accrued annual leave and after-service health insurance (ASHI) as per Assembly resolution A.1132(31).

140 The Headquarters Capital Fund was established with effect from 1 January 1994 by Assembly resolution A.778(18) to meet the capital expenditure necessary for the efficient operation of the Organization and for fulfilling the Organization's liabilities under the terms of the Lease for the Headquarters building between the Organization and the Government of the United Kingdom. The scope of the Headquarters Capital Fund was widened to include expenditure on the design, installation, and implementation of information technology systems, including training on these systems.

141 The Technical Cooperation Fund was originally established with effect from 1 January 1986 by Assembly resolution A.593(14) as a US dollar-based fund, the interest income from which was used to assist the Technical Cooperation Programme of the Organization in accordance with the proposal supported by the Assembly in biennial budgets. The Fund was converted to a sterling-based fund with effect from 1 January 1996 by Assembly resolution A.837(19). By that resolution, the scope of the Fund was widened to enable funds to be drawn down and applied to technical cooperation activities.

142 Trust Funds are established to account for the expenditures related to the activities financed by the respective donors. Fund balances represent the unexpended portion of contributions that are intended to be utilized in future operational requirements consistent with the Terms of Reference of the Fund. These constitute IMO's residual interest in the assets after deducting all its liabilities.

NOTE 3: REVENUE

Note 3.1: Assessed Contributions

143 Assessed contributions are based on a flat base rate with additional components based on economic factors and merchant fleet tonnage. WMU and IMLI do not receive assessed contributions.

144 Total assessed contributions for 2025 amounted to £37,581,000 (2024: £35,576,938) from 176 Member States and 3 Associate Members, with the Organization's 10 largest contributors shown below.

IMO	Member States	Amount GBP	% of Total Assessment
1	The Republic of Liberia	5,527,138	14.7
2	The Republic of Panama	5,147,844	13.7
3	The Republic of the Marshall Islands	3,940,137	10.5
4	The People's Republic of China	2,157,417	5.7
5	The Republic of Singapore	2,127,275	5.7
6	The Republic of Malta	1,758,215	4.7
7	Hong Kong, China	1,402,179	3.7
8	The Commonwealth of the Bahamas	1,232,138	3.3
9	The United Kingdom of Great Britain and Northern Ireland	977,132	2.6
10	Japan	939,599	2.5
TOTAL		**25,209,074**	**67.1**

145 In determining each Member's assessment, the formula established by Assembly Resolution A.726(17) has been applied. This provides for: (1) a minimum assessment, calculated at 2.94% of the total assessment divided equally between Member States and 50% for Associate Members; (2) a basic assessment, calculated at 12.5% of the total assessment less the minimum assessment. The United Nations General Assembly seventy-sixth session scale of assessments for 2022-2024 has been applied in determining the basic assessment; and (3) a tonnage assessment, calculated at 87.5% of the total assessment less the minimum assessment and is determined by the gross registered tonnage attributable to Member States, as provided by S&P Global (formerly IHS Markit Maritime & Trade), following the procedures established in Circular letter No. 3347.

Note 3.2: Donor Contributions

146 Contributions through donor agreements are recognized as revenue at the point of signature, except to the extent that such agreements contain a condition within the meaning of IPSAS 23 – "Revenue from Non-Exchange Transactions" such that the contributions must be returned if the condition is not met. For agreements that do contain such a condition, revenue is recognized as the project is delivered.

147 Revenue from contributions received from donors during the reporting period amounted to £18,327,668 (2024: £19,680,587) and the Organization's 10 largest contributors for 2025 are shown below:

IMO	Donor	Amount GBP	% of Total Donor Revenue
1	Republic of Korea	6,968,898	38.0
2	Kingdom of Norway	2,730,335	14.9
3	United Nations Development Programme (UNDP)	1,377,901	7.5
4	Federal Republic of Germany	1,055,812	5.8
5	United Nations Environment Programme (UNEP)	947,867	5.2
6	The European Commission	859,652	4.7
7	Food and Agriculture Organization (FAO)	856,656	4.7
8	The United Kingdom of Great Britain and Northern Ireland	827,368	4.5
9	Kingdom of Saudi Arabia	581,077	3.2
10	Republic of France	552,551	3.0
TOTAL		**16,758,117**	**91.5**

148 Donor contributions fluctuate year to year due to the timing of the recognition of revenue.

149 The consolidated revenue received from donor contributions amounted to £25,459,319 (2024: £25,661,293). The 10 largest contributors to donor revenue in 2025 are shown below:

Consolidated	Donor	Amount GBP	% of Total Donor Revenue
1	The Republic of Korea	7,131,284	28.0
2	The Kingdom of Norway	2,730,335	10.7
3	The Nippon Foundation	2,685,592	10.6
4	The Kingdom of Sweden	2,328,545	9.2
5	United Nations Development Programme (UNDP)	1,377,901	5.4
6	The European Commission	1,193,992	4.7
7	The Federal Republic of Germany	1,055,812	4.2
8	United Nations Environment Programme (UNEP)	947,867	3.7
9	Food and Agriculture Organization (FAO)	856,656	3.4
10	The United Kingdom of Great Britain and Northern Ireland	827,368	3.2
TOTAL		**21,135,352**	**83.1**

Note 3.3: Commercial Activities

150 Key commercial revenue streams for the Organization and the consolidated group are shown below:

	IMO		Consolidated	
	2025 GBP	2024 GBP	2025 GBP	2024 GBP
Publication Sales	15,053,937	13,745,580	15,053,937	13,745,580
Cafeteria Sales	1,900,996	1,080,507	1,900,996	1,080,506
Assessment, membership, and verification audit fees	307,963	389,112	307,963	389,112
Letting of conference facilities and other commercial revenue	704,228	508,001	3,493,376	2,497,803
TOTAL	**17,967,124**	**15,723,200**	**20,756,272**	**17,713,001**

151 The major components of IMO Publication Sales are shown below:

	2025 GBP	2024 GBP
Sale of physical publications	8,550,164	7,292,087
Electronic publications	1,239,478	2,520,448
Royalties	5,112,323	3,708,313
Subscriptions	151,972	224,732
TOTAL PUBLICATION SALES	**15,053,937**	**13,745,580**

152 Revenue from publication sales totalling £15.1m (2024: £13.7m) has increased by 10% from 2024, with the majority of revenue coming from new editions of major titles, such as the IAMSAR Manual Vol. 3 and Ships' Routeing. The sale of physical publications accounted for 57% of total sales. In 2025, the sale of digital offerings, consisting of electronic publications, royalties, and subscriptions, is 43% of total publications sales (2024: 47%).

Note 3.4: Fellowships

153 Both WMU and IMLI receive funds for fellowships to support students. IMO does not receive such revenue, and consequently, only the consolidated figures are shown, which amounted to £6,362,854 for 2025 (2024: £6,683,592). The five largest aggregate contributors are listed below:

	Sponsors	Amount GBP	% of total donor revenue
1	The Nippon Foundation	1,813,107	28.5
2	The Federal Republic of Nigeria	575,532	9.0
3	The Republic of Korea	423,420	6.7
4	International Transport Workers' Federation (ITF)	389,074	6.1
5	Orient´s Fond	379,623	6.0
TOTAL		**3,580,756**	**56.3**

Note 3.5: Other Revenue

154 The most significant sources of other revenue are set out below:

	IMO		Consolidated	
	2025	2024	2025	2024
	GBP	GBP	GBP	GBP
Interest earned	3,998,856	4,700,278	4,608,240	6,638,738
Other revenue	88,635	35,688	263,438	285,272
TOTAL	**4,087,491**	**4,735,966**	**4,871,678**	**6,924,010**

155 Other revenue declined in 2025, mainly as a result of lower interest earned on short-term investments. This was driven by a reduction in market interest rates for the Organization's principal investment currencies, GBP and USD, together with the effect of movements in the USD–GBP exchange rate. Interest earned is shown net of £457,377 that will be returned to Member States as part of the Contributions Incentive Scheme.

NOTE 4: EXPENSES

	IMO		Consolidated	
	2025 GBP	2024 GBP	2025 GBP	2024 GBP
4.1: Staff and Other Personnel Costs				
Professional and General Service staff, experts	38,024,222	34,585,255	47,590,134	43,499,520
Appointment and separation	3,562,689	3,190,010	3,762,364	3,248,234
Termination benefit	228,285	329,688	228,285	329,688
Consultants	2,726,654	3,969,680	3,890,088	4,843,211
Temporary assistance	2,001,868	2,420,408	2,007,388	2,429,322
Meetings personnel (interpreters, translators, temporary employees)	1,207,045	1,120,117	1,207,045	1,120,117
Total Staff and Other Personnel Costs	**47,750,763**	**45,615,158**	**58,685,304**	**55,470,092**
4.2: Travel Expenses				
Fares	1,822,524	1,963,576	2,427,452	2,503,186
Daily Subsistence Allowance and other expenses	1,873,379	1,596,229	2,303,106	1,915,677
Total Travel Expenses	**3,695,903**	**3,559,805**	**4,730,558**	**4,418,863**
4.3: Supplies, Consumables and Other Running Costs				
Office supplies and consumables	85,353	78,436	113,376	105,722
Telecommunications and information technology	1,954,283	2,180,459	2,299,344	2,433,205
Rent, rates and insurance	283,478	1,473,729	286,261	1,476,445
Utilities	1,228,568	1,284,855	1,256,954	1,317,244
Medical costs	28,695	28,909	28,695	28,909
Library books, magazines, subscriptions	11,143	19,760	339,593	305,772
Hospitality	15,049	4,105	120,074	123,713
Vehicle, local transport and hotel accommodation	19,812	(347)	26,820	8,060
Postage, telephone and freight	383,163	354,286	440,300	414,044
Equipment, furniture and local procurement	2,359,273	1,749,158	2,393,212	1,769,095
Building maintenance	2,659,588	2,827,221	2,693,506	2,897,248
Other operational costs	115	911	433,189	592,356
Total Supplies, Consumables and Other Running Costs	**9,028,520**	**10,001,482**	**10,431,324**	**11,471,813**
4.4: Costs Related to Trading Activities				
Cost of Sales IMO Publications	631,783	653,833	631,783	653,833
Cost of Sales Model courses	417	906	417	906
Loss on Physical Inventory	1,552	504	1,552	504
Publications issued free of charge	714	2,006	714	2,006
Provision for return of obsolete publications	(8,391)	1,123	(8,391)	1,123
Printing (contract - out)	36,590	1,973	36,590	1,973
Electronic publishing (IMO/Vega)	132,285	125,020	132,285	125,020
Catering food and supplies	1,106,876	867,007	1,106,876	867,007
Warehousing costs	28,136	26,401	28,136	26,401
Articles and Cost of Sales of Books	-	-	16,294	15,992
Publications Supplies	-	1,250	-	1,250
Total Costs Related to Trading Activities	**1,929,962**	**1,680,023**	**1,946,256**	**1,696,015**

	IMO		Consolidated	
	2025 GBP	2024 GBP	2025 GBP	2024 GBP
4.5: Outsourced Services				
Security services	62,030	53,136	106,732	99,678
Cleaning services	-	-	184,016	175,850
Telecommunications/IT related services	-	-	56,100	48,954
Catering services	-	-	136,596	122,777
Sub-contract delivery of Technical Cooperation activities	1,110,072	1,276,382	1,098,897	1,144,466
Total Outsourced Services	**1,172,102**	**1,329,518**	**1,582,341**	**1,591,725**
4.6: Training and Development				
Staff training	159,070	45,968	229,631	133,091
Fellowship and student costs	1,255,774	1,593,866	3,061,141	2,878,916
Group training including participant travel	3,146,240	3,038,062	2,977,330	3,016,333
Total Training and Development	**4,561,084**	**4,677,896**	**6,268,102**	**6,028,340**
4.7: Depreciation, Amortization and Impairment				
Depreciation of property, plant and equipment	1,562,297	356,791	1,791,722	595,502
(Gain)/loss on disposal of property, plant and equipment	4,246	1,429	4,809	1,429
Amortization of intangible assets	27,175	16,852	27,175	16,852
Impairment of IMO publications	56,586	15,910	56,586	15,910
Total Depreciation, Amortization and Impairment	**1,650,304**	**390,982**	**1,880,292**	**629,693**
4.8: Return of Unspent Funds	**313,316**	**534,711**	**313,316**	**534,711**
4.9: Other Expenses				
Jointly financed UN bodies	126,745	168,761	126,745	168,761
Bank charges	168,913	158,898	218,787	207,602
External audit	56,608	56,608	95,188	93,588
Other miscellaneous expenses	49,707	1,388,217	230,154	1,517,944
Total Other Expenses	**401,973**	**1,772,484**	**670,874**	**1,987,895**
4.10: Currency Exchange Gain / (Loss)	**(3,552,004)**	**251,219**	**(6,484,155)**	**1,627,047**

156 Staff and Other Personnel Costs include salaries, fees, employee benefits, and other costs associated with staff, project experts and support personnel, consultants, temporary assistance, and meeting personnel (interpreters, translators, and temporary employees) of all headquarters and field staff employed by IMO.

157 Travel includes the cost of the fares, Daily Subsistence Allowance (DSA), and other associated expenses of the mission of staff members, project experts, and consultants. The costs of home leave travel, recruitment travel, and repatriation travel are reported under 4.1 – Staff and Other Personnel Costs and the students' travel and field trips costs are accounted for under 4.6 – Training and Development.

158 Supplies, Consumables and Other Running Costs primarily include the cost of running the headquarters and field office buildings.

159 Costs Related to Trading Activities include the cost of all commercial sales within the meaning of IPSAS 9 – "Revenue from Exchange Transactions" but excludes staff costs and common overhead costs.

160 Outsourced Services include the costs of the most significant outsourcing arrangements in place, principally for sub-contracts under the technical cooperation and extrabudgetary activities.

161 Training and Development include the cost of staff training incurred under the regular budget, and the fellowship and group training costs incurred under the Technical Cooperation Fund and various donor trust Funds.

162 Return of Unspent Funds represents the refund of the remaining balances of contributions after the financial closure of the related projects or activities as agreed with the donor.

163 Other Expenses include shared costs of jointly financed UN bodies, public information (including IMO News and publicity), bank charges and external audit fees.

NOTE 5: STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS

164 Explanations of material differences between the original budget and the final budget as well as between the final budget and the actual amounts are presented under the Financial and Budget Performance Highlights section of the Secretary-General's Statement.

165 The Organization's budget and accounts are prepared on different bases. The Statement of Financial Performance (Statement II) is prepared on a full accrual basis using a classification based on the nature of expenses, whereas the Statement of Comparison of Budget and Actual Amounts (Statement V) is prepared on a modified accrual basis. In this respect, it is required under IPSAS 24 – “Presentation of Budget Information in Financial Statements” that actual amounts presented in Statement V should be reconciled to the actual amounts presented in the financial statements, specifically the net cash flows from operating activities, investing activities, and financing activities, derived by identifying differences relating to basis, presentation and entity.

166 Basis differences occur when the approved budget is prepared on a basis other than the accounting basis. For IMO, the budget is prepared on a modified accruals basis and the financial statements are prepared on a full accruals basis in accordance with IPSAS, and as a result basis differences arise in particular for long-term assets and liabilities. One example is Property, Plant and Equipment, where budget expenditure is recognized on the purchase of a new asset while the IPSAS-based expenditure recognized in Statement II shows depreciation over the life of the asset.

167 Entity differences occur when the budget omits programmes or entities that are part of the entity for which the financial statements are prepared. For IMO, the Organization's extrabudgetary and donor-funded programmes are not a part of the budgetary approval process of the Assembly and the Council and so are not included in Statement V, and consequently, the revenue and expenses relating to such programmes are an entity difference.

168 Presentation differences occur as a result of differences in the format and classification schemes adopted for the presentation of the Statement of Cash Flow and the Statement of Comparison of Budget and Actual Amounts, in particular in relation to the reflection of transfers from the surplus of the Trading Fund which then forms the basis for a proportion of the approved budget of other Funds. These amounts are shown separately for budget comparison purposes but are eliminated when preparing the overall IMO position shown in Statements II and IV.

169 Timing differences occur when the budget period differs from the reporting period reflected in the financial statements. There is no timing difference for IMO, for the purposes of comparison between budget and actual amounts.

170 The reconciliation between the actual amounts on a comparable basis in the Statement of Comparison of Budget and Actual Amounts (Statement V) and the actual amounts in the Statement of Cash Flow (Statement IV) for the year ended 31 December 2025 is shown below. Budget amounts have been presented on a functional classification basis in accordance with the approved budget for 2025, which presents a breakdown of the budget for purposes of the above comparison. The amount of budgetary surplus of £5,279,069 for 2025 shown in Statement V for IMO only, has been reconciled to the net increase in cash and cash equivalents of £8,734,374 presented in Statement IV (IMO 2025), and the details of the reconciliation are presented in the table below. Operating activities in the table below include the positive effect of exchange rate changes on cash and cash equivalents of £817,840.

Adjustments pertaining to cash flows from: IMO		Operating activities GBP	Investing activities GBP	Financing activities GBP	Total GBP
Actual amounts on a comparable basis as presented in the Budget and Actual Comparative Statement	**A**	**5,279,069**	**-**	**-**	**5,279,069**
Basis differences	(a)	4,972,137	(8,736,062)	6,682,922	2,918,997
Entity differences	(b)	2,400,428	(23,451)	-	2,376,977
Presentation differences	(c)	(1,840,669)	-	-	(1,840,669)
Total Differences	**B=a+b+c**	**5,531,896**	**(8,759,513)**	**6,682,922**	**3,455,305**
ACTUAL AMOUNTS IN THE STATEMENT OF CASH FLOWS	**C=A+B**	**10,810,965**	**(8,759,513)**	**6,682,922**	**8,734,374**

171 The reconciliation of the amount of the consolidated surplus of £6,277,084 shown in Statement V for the consolidated entity including WMU and IMLI, has also been made to the net increase in cash and cash equivalents of £10,212,500 indicated in Statement IV (Consolidated 2025), as shown in the table below. While IMO's budget is approved by the IMO Assembly, the budgets of WMU and IMLI are approved by their separate governing bodies – the Board of Governors (WMU) and the Governing Board (IMLI). The entity difference of £2,857,087 shown in the table below, includes the budgets of WMU and IMLI as neither is approved by IMO's Assembly.

Adjustments pertaining to cash flows from: Consolidated		Operating activities GBP	Investing activities GBP	Financing activities GBP	Total GBP
Actual amounts on a comparable basis as presented in the Budget and Actual Comparative Statement	**A**	**6,277,084**	**-**	**-**	**6,277,084**
Basis differences	(a)	4,972,137	(8,736,062)	6,682,922	2,918,998
Entity differences	(b)	3,204,594	(347,506)	-	2,857,087
Presentation differences	(c)	(1,840,669)	-	-	(1,840,669)
Total Differences	**B=a+b+c**	**6,336,062**	**(9,083,568)**	**6,682,922**	**3,935,416**
ACTUAL AMOUNTS IN THE STATEMENT OF CASH FLOWS	**C=A+B**	**12,613,146**	**(9,083,568)**	**6,682,922**	**10,212,500**

172 IMO's budget is prepared on a 'modified accruals' basis, while both WMU and IMLI budget on a full accrual basis.

NOTE 6: SEGMENT REPORTING

Note 6.1: Segmental Statements of Financial Position as at 31 December 2025

Note 6.1.1: Statement of Financial Position by Segment – IMO

	Core Programme Management	Trading and Business Activities	Technical Cooperation Activities and Trust Fund	Elimination	Grand Total
	GBP	GBP	GBP	GBP	GBP
ASSETS					
Current Assets					
Cash and Cash Equivalents	48,751,585	7,633,494	65,264,018	-	121,649,097
Contributions Receivable	248,415	-	2,154,050	-	2,402,465
Inventories	-	516,027	-	-	516,027
Advances to Sub-contractors and Partners	-	-	3,040,760	(10,894)	3,029,866
Inter-segment Sums Receivable	1,277,298	294,297	3,114,794	(4,686,389)	-
Other Receivables and Prepayments	3,732,360	648,126	987,004	-	5,367,490
Total Current Assets	**54,009,658**	**9,091,944**	**74,560,626**	**(4,697,283)**	**132,964,945**
Non-Current Assets					
Property, Plant and Equipment	9,033,606	138,999	33,168	-	9,205,773
Intangible Assets	75,730	-	-	-	75,730
Total Non-Current Assets	**9,109,336**	**138,999**	**33,168**	**-**	**9,281,503**
TOTAL ASSETS	**63,118,994**	**9,230,943**	**74,593,794**	**(4,697,283)**	**142,246,448**
LIABILITIES					
Current Liabilities					
Payables and Accruals	7,241,937	572,451	12,232,117	(10,894)	20,035,611
Provisions for Warranties	-	13,754	-	-	13,754
Inter-segment Sums Payable	960,193	206,594	3,519,602	(4,686,389)	-
Employee Benefits	236,525	7,418	12,613	-	256,556
Finance Lease Liabilities	1,021,265	-	-	-	1,021,265
Total Current Liabilities	**9,459,920**	**800,217**	**15,764,332**	**(4,697,283)**	**21,327,186**
Non-Current Liabilities					
Employee Benefits	37,697,259	-	-	-	37,697,259
Finance Lease Liabilities	6,052,896	-	-	-	6,052,896
Total Non-Current Liabilities	**43,750,155**	**-**	**-**	**-**	**43,750,155**
TOTAL LIABILITIES	**53,210,075**	**800,217**	**15,764,332**	**(4,697,283)**	**65,077,341**
NET ASSETS	**9,908,919**	**8,430,726**	**58,829,462**	**-**	**77,169,107**
FUND BALANCES AND RESERVES					
Fund Balances and Reserves	8,652,312	6,576,255	58,033,188	-	73,261,755
Surplus/(Deficit) for the year	1,256,607	1,854,471	796,274	-	3,907,352
TOTAL FUND BALANCES AND RESERVES	**9,908,919**	**8,430,726**	**58,829,462**	**-**	**77,169,107**

Note 6.1.2: Statement of Financial Position by Segment – Consolidated (GBP)

	Core Programme Management	Trading and Business Activities	Technical Cooperation Activities and Trust Fund	Education and Research	Elimination	Grand Total
ASSETS						
Current Assets						
Cash and Cash Equivalents	48,751,585	7,633,494	65,264,018	18,953,449	-	140,602,546
Contributions Receivable	248,415	-	2,154,050	-	-	2,402,465
Inventories	-	516,027	-	84,661	-	600,688
Advances to Sub-contractors and Partners	-	-	3,040,760	-	(10,894)	3,029,866
Inter-segment Sums Receivable	1,277,298	294,297	3,114,794	-	(4,686,389)	-
Other Receivables and Prepayments	3,732,360	648,126	987,004	1,872,194	-	7,239,684
Total Current Assets	**54,009,658**	**9,091,944**	**74,560,626**	**20,910,304**	**(4,697,283)**	**153,875,249**
Non-Current Assets						
Investments	-	-	-	12,715,108	-	12,715,108
Property, Plant and Equipment	9,033,606	138,999	33,168	299,066	-	9,504,839
Intangible Assets	75,730	-	-	-	-	75,730
Total Non-Current Assets	**9,109,336**	**138,999**	**33,168**	**13,014,174**	**-**	**22,295,677**
TOTAL ASSETS	**63,118,994**	**9,230,943**	**74,593,794**	**33,924,478**	**(4,697,283)**	**176,170,926**
LIABILITIES						
Current Liabilities						
Payables and Accruals	7,241,937	572,451	12,232,117	6,854,574	(10,894)	26,890,185
Provisions for Warranties	-	13,754	-	-	-	13,754
Inter-segment Sums Payable	960,193	206,594	3,519,602	-	(4,686,389)	-
Employee Benefits	236,525	7,418	12,613	24,900	-	281,456
Finance Lease Liabilities	1,021,265	-	-	-	-	1,021,265
Total Current Liabilities	**9,459,920**	**800,217**	**15,764,332**	**6,879,474**	**(4,697,283)**	**28,206,660**
Non-Current Liabilities						
Employee Benefits	37,697,259	-	-	2,600,174	-	40,297,433
Finance Lease Liabilities	6,052,896	-	-	-	-	6,052,896
Total Non-Current Liabilities	**43,750,155**	**-**	**-**	**2,600,174**	**-**	**46,350,329**
TOTAL LIABILITIES	**53,210,075**	**800,217**	**15,764,332**	**9,479,648**	**(4,697,283)**	**74,556,989**
NET ASSETS	**9,908,919**	**8,430,726**	**58,829,462**	**24,444,830**	**-**	**101,613,937**
FUND BALANCES AND RESERVES						
Fund Balances and Reserves	8,652,312	6,576,255	58,033,188	26,313,581	-	99,575,336
Surplus/(Deficit) for the year	1,256,607	1,854,471	796,274	(1,868,751)	-	2,038,601
TOTAL FUND BALANCES AND RESERVES	**9,908,919**	**8,430,726**	**58,829,462**	**24,444,830**	**-**	**101,613,937**

Note 6.2: Segmental Statements of Financial Performance for the year ended 31 December 2025

Note 6.2.1: Statement of Financial Performance by Segment – IMO

	Core Programme Management	Trading and Business Activities	Technical Cooperation Activities and Trust Fund	Elimination	Grand Total
	GBP	GBP	GBP	GBP	GBP
Revenue					
Assessed Contributions	37,581,000	-	-	-	37,581,000
Donor Contributions	-	-	18,327,668	-	18,327,668
Commercial Activities	704,228	17,305,942	307,963	(351,009)	17,967,124
Other Revenue	2,038,964	110,555	1,937,972	-	4,087,491
Support Costs Earned	2,657,914	-	-	(2,657,914)	-
Inter-segment Transfers	4,714,002	-	5,767,940	(10,481,942)	-
TOTAL REVENUE	**47,696,108**	**17,416,497**	**26,341,543**	**(13,490,865)**	**77,963,283**
Expenses					
Staff and Other Personnel Costs	36,086,782	3,149,519	8,514,462	-	47,750,763
Travel Expenses	689,669	11,590	2,994,644	-	3,695,903
Supplies, Consumables and Other Running Costs	5,780,294	2,078,008	1,398,593	(228,375)	9,028,520
Cost Related to Trading Activities	-	1,929,962	-	-	1,929,962
Outsourced Services	62,029	-	1,110,073	-	1,172,102
Training and Development	158,021	1,050	4,412,187	(10,174)	4,561,084
Support Costs Charged	-	961,001	1,696,913	(2,657,914)	-
Depreciation, Amortization and Impairment	1,530,549	98,247	21,508	-	1,650,304
Return of Unspent Funds	-	-	313,316	-	313,316
Other Expenses	(268,024)	117,478	664,979	(112,460)	401,973
Inter-segment Transfers	2,125,010	7,240,285	1,116,647	(10,481,942)	-
TOTAL EXPENSES	**46,164,330**	**15,587,140**	**22,243,322**	**(13,490,865)**	**70,503,927**
OPERATING SURPLUS / (DEFICIT) FOR THE YEAR	**1,531,778**	**1,829,357**	**4,098,221**	**-**	**7,459,356**
Currency Exchange Gain / (Loss)	(275,171)	25,114	(3,301,947)	-	(3,552,004)
SURPLUS / (DEFICIT) FOR THE YEAR	**1,256,607**	**1,854,471**	**796,274**	**-**	**3,907,352**

Note 6.2.2: Statement of Financial Performance by Segment – Consolidated (GBP)

	Core Programme Management	Trading and Business Activities	Technical Cooperation Activities and Trust Fund	Education and Research	Elimination	Grand Total
Revenue						
Assessed Contributions	37,581,000	-	-	-	-	37,581,000
Donor Contributions	-	-	18,327,668	7,141,932	(10,281)	25,459,319
Commercial Activities	704,228	17,305,942	307,963	3,063,072	(624,933)	20,756,272
Fellowship	-	-	-	7,330,440	(967,586)	6,362,854
Other Revenue	2,038,964	110,555	1,937,972	784,187	-	4,871,678
Support Costs Earned	2,657,914	-	-	-	(2,657,914)	-
Inter-segment Transfers	4,714,002	-	5,767,940	-	(10,481,942)	-
TOTAL REVENUE	**47,696,108**	**17,416,497**	**26,341,543**	**18,319,631**	**(14,742,656)**	**95,031,123**
Expenses						
Staff and Other Personnel Costs	36,086,782	3,149,519	8,514,462	11,022,654	(88,113)	58,685,304
Travel Expenses	689,669	11,590	2,994,644	1,034,655	-	4,730,558
Supplies, Consumables and Other Running Costs	5,780,294	2,078,008	1,398,593	1,448,134	(273,705)	10,431,324
Cost Related to Trading Activities	-	1,929,962	-	16,294	-	1,946,256
Outsourced Services	62,029	-	1,110,073	421,414	(11,175)	1,582,341
Training and Development	158,021	1,050	4,412,187	2,767,645	(1,070,801)	6,268,102
Support Costs Charged	-	961,001	1,696,913	-	(2,657,914)	-
Depreciation, Amortization and Impairment	1,530,549	98,247	21,508	229,988	-	1,880,292
Return of Unspent Funds	-	-	313,316	-	-	313,316
Other Expenses	(268,024)	117,478	664,979	296,178	(139,737)	670,874
Inter-segment Transfers	2,125,010	7,240,285	1,116,647	-	(10,481,942)	-
TOTAL EXPENSES	**46,164,330**	**15,587,140**	**22,243,322**	**17,236,962**	**(14,723,387)**	**86,508,367**
OPERATING SURPLUS / (DEFICIT) FOR THE YEAR	**1,531,778**	**1,829,357**	**4,098,221**	**1,082,669**	**(19,269)**	**8,522,756**
Currency Exchange Gain / (Loss)	(275,171)	25,114	(3,301,947)	(2,951,420)	19,269	(6,484,155)
SURPLUS / (DEFICIT) FOR THE YEAR	**1,256,607**	**1,854,471**	**796,274**	**(1,868,751)**	**-**	**2,038,601**

173 Some internal activities result in accounting transactions that create inter-segment revenue and expense balances in the financial statements. Inter-segment transactions are reflected in the above statements to accurately present these financial statements, the most significant examples of which are the Council-mandated transfers from the Trading Fund to other organizational funds. The aggregate amount was £7,037,414 of which £5,348,434 was to the Technical Cooperation Fund and £1,688,980 was to the Core Programme. In addition, there are support costs totalling £1,696,913 charged on extra-budgetary activities and £961,001 charged to the Trading Activities to reimburse costs incurred by the Core Programme.

174 IMO provides funding support to WMU and IMLI to finance their fellowship and related programmes, which is recognized as expenditure by IMO and as revenue by WMU and IMLI. These transactions, which are eliminated in arriving at the consolidated position, amount to £871,954 between IMO and WMU, and £381,503 between IMO and IMLI.

175 A summary of the goods and services provided under each segment, and their objectives, is set out in Note 1, under section Fund Accounting and Segment Reporting.

NOTE 7: COMMITMENTS AND CONTINGENCIES

Note 7.1: Commitments

176 As at 31 December 2025, IMO had commitments for goods and services including consultancy contracted but not delivered as follows:

	2025 Commitments GBP
Regular budget strategic results	490,837
Trading activities	95,547
Termination benefit	22,000
Headquarters Capital Fund	223,109
Technical Cooperation (TC Fund)	1,357,764
Subtotal	**2,189,257**
Technical Cooperation (Donor Funds)	262,317
TOTAL	**2,451,574**

177 The actual discharge of the 2024 commitments in 2025 is £1,778,732 the breakdown of which is shown below:

	2024 Commitments GBP	2025 Discharge GBP
Regular budget strategic results	523,629	415,105
Trading activities	256,494	183,734
Termination benefit	-	-
Headquarters Capital Fund	707,710	538,457
Technical Cooperation (TC Fund)	710,877	641,436
Subtotal	**2,198,710**	**1,778,732**
Technical Cooperation (Donor Funds)	170,661	-
TOTAL	**2,369,371**	**1,778,732**

178 Neither WMU nor IMLI has commitments or contingencies at year-end and consequently the figures shown above reflect the consolidated position as well.

Note 7.2: Contingent Liabilities and Contingent Assets

179 As at 31 December 2025, the Organization had two ongoing staff-related legal cases that could result in a future outflow of resources. The estimated potential liability is in total approximately USD 46,000. However, as the outcome remains uncertain and does not meet the recognition criteria for a provision under IPSAS 19, these amounts are not included in the Statement of Financial Performance. The financial impact of these cases will be updated as the process continues.

180 The Organization, in conjunction with UNDP, conducted a review of all historical balances under the UNDP Service Clearing Account (SCA), and its predecessor the Inter-office Voucher (IOV) scheme, under which UNDP provides services to other UN system organizations, and the Project Clearing Account (PCA), through which UNDP acts as a donor for IMO extrabudgetary activities. While the Organization's financial statements reflect amendments arising as a result of that review, there remains a net difference on the PCA accounts of $472,970, as at 30 June 2025, between IMO and UNDP. Discussions between IMO and UNDP on an agreeable resolution of this difference is ongoing.

NOTE 8: LOSSES, EX-GRATIA PAYMENTS, WRITE-OFFS, AND CASES OF FRAUD

181 Financial Regulation 10.3 provides that "The Secretary-General may make such ex-gratia payments as he deems to be necessary in the interest of the Organization, provided that a statement of such payments shall be submitted to the Assembly with the financial statements". During 2025, no ex-gratia payments were made.

182 Financial Regulation 10.4 provides that "The Secretary-General may, after full investigation, authorize the writing off of losses of cash, stores, and other assets, provided that a statement of all such amounts written off shall be submitted to the External Auditor with the financial statements". During 2025, IMO disposed obsolete items of property, plant and equipment with a residual value of £4,246 at the time of disposal.

183 During 2025, no case of fraud or presumptive fraud was identified.

184 WMU reported the disposal of Communication and IT equipment with a carrying amount of SEK 41,212 (£3,180) and a residual value of SEK 8,096 (£625), while IMLI reported the disposal of similar equipment with a carrying amount of EUR 762 (£651) and a residual value of EUR 343 (£293). WMU and IMLI did not report any cases of ex-gratia payments, fraud, or presumptive fraud in 2025.

NOTE 9: RELATED PARTIES AND KEY MANAGEMENT PERSONNEL

Note 9.1: Key Management Personnel

	Number of FTEs	Compensation and post adjustment	Entitlements	Pension and health plans	Total remuneration	Outstanding Loans against entitlements	Outstanding Advances against entitlements
		GBP	GBP	GBP	GBP	GBP	GBP
2024							
IMO	7.05	1,319,814	91,314	343,931	1,755,059	-	33,453
Consolidated	9.05	1,680,364	100,969	436,402	2,217,735	-	33,453
2025							
IMO	7.05	1,336,922	168,767	309,908	1,815,597	-	51,408
Consolidated	9.05	1,720,160	169,376	407,623	2,297,159	-	51,408

185 Key management personnel of IMO are the Secretary-General, six Divisional Directors, and two Departmental Chiefs/Heads. Key management personnel of the consolidated group include the President of the WMU and the Director of the IMLI, as they have the authority and responsibility for planning, directing, and controlling the activities of the consolidated group.

186 The aggregate remuneration paid to key management personnel includes net salaries, post adjustment, entitlements (such as representation allowance and other allowances); assignment and other grants; rental subsidy; personal effects shipment costs; employer pension; and current health insurance contributions. The outstanding advance represents the amount paid against the education grant entitlement to two key management personnel which is available to all professional staff. No close family member of the key management personnel was employed by the Organization during the year.

187 Key management personnel are also qualified for post-employment benefits (Note 2.11) at the same level as other employees. Key management personnel of IMO are participants of the United Nations Joint Staff Pension Fund (UNJSPF).

Note 9.2: Related Parties

188 The Organization does not have any relationships or transactions with individuals or other entities that would require disclosure under the specific guidelines set forth by IPSAS 20, "Related Party Disclosures".

NOTE 10: THE EFFECTS OF CHANGES IN FOREIGN EXCHANGE RATES

189 An exchange rate difference arose due to converting the opening assets and liabilities of WMU and IMLI, whose functional currencies are the Swedish krona and Euro respectively, at the 2025 closing rate which differs from the 2024 closing rate, and the resulting differences are presented as a separate component of net assets/equity in accordance with IPSAS 4 – "The Effects of Changes in Foreign Exchange Rates".

	WMU GBP	IMLI GBP	TOTAL GBP
Closing balance as at 31.12.2024 exchange rate	19,298,689	4,528,295	23,826,984
Opening balance as at 01.01.2025 revalued at 31.12.2025 exchange rate	21,552,679	4,760,903	26,313,582
TOTAL	**2,253,990**	**232,608**	**2,486,598**

NOTE 11: FINANCIAL INSTRUMENTS

190 The Organization measures Financial Instruments as follows:

Financial Instruments	Category
Cash and Cash Equivalents (including short-term deposits)	Amortized cost
Contributions Receivable	Amortized cost
Other Receivables	Amortized cost
Payables and Accruals	Amortized cost

191 The IMO budget is funded by assessed contributions in Pound Sterling (GBP), the functional and reporting currency of the Organization. As of 31 December 2025, 60.2% of the total cash balance of 121.65 million was held in GBP and 35.5% was held in USD. The remaining 4.3% was held in other currencies. The USD balance is mainly maintained for the Bilateral Operations and Multi-Donor Trust Funds that are budgeted and managed in USD. The use of these funds is governed by the respective donor's contractual agreement and consequently is not available for the Organization's general use. To minimize the risk of currency fluctuations, the Organization maintains a USD-GBP cash mix that aligns with the outlays in the currency required for the delivery of IMO activities.

192 The value of these currencies, percentage, and GBP equivalent are presented in the table below:

Currency	Balance	Equivalent GBP	Percentage
GBP	73,237,536	73,237,536	60.2
USD	58,276,764	43,183,007	35.5
EUR	5,951,051	5,187,904	4.3
PHP	3,179,597	40,063	0.0
BDT	96,661	587	0.0
TOTAL		**121,649,097**	**100.0**

NOTE 12: EVENTS AFTER REPORTING DATE

193 IMO's reporting date is 31 December 2025. On the date of the signing of the Financial Statements, there had been no material events, favourable or unfavourable, incurred between the balance sheet date and the date when the financial statements were authorized for issue that would have impacted these statements.

ANNEX

	Name	Address
IMO	International Maritime Organization	4 Albert Embankment London, SE1 7SR United Kingdom
General Counsel Director, Legal Affairs and External Relations Division	Mrs. D. Lost-Sieminska	4 Albert Embankment London, SE1 7SR United Kingdom
Actuary	Barnett Waddingham LLP	2 London Wall Place 123 London Wall London, EC2Y 5AU United Kingdom
Principal Banker	J.P. Morgan Chase	JP Morgan Chase Bank N.A. 25 Bank Street, Canary Wharf London, E14 5JP United Kingdom
External Auditor	Chair, The Audit Board of the Republic of Indonesia	The Audit Board of the Republic of Indonesia Jalan Gatot Subroto No. 31, Jakarta – Indonesia